

ANNEX C

GENERAL CONDITIONS FOR PETROLEUM SERVICES

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ARTICLE 1 OBJECT

The CONTRACT shall govern the relationship between COMPANY and CONTRACTOR; and except as may be expressly agreed between the PARTIES in writing, CONTRACTOR's terms and conditions for performance of services shall have no force and effect with respect to any part of the CONTRACT.

The object of the CONTRACT is as specified in the PARTICULAR CONDITIONS. Nothing contained in the CONTRACT shall represent or constitute any kind of exclusive right for CONTRACTOR to perform work or provide services to COMPANY; and COMPANY hereby reserves its right to engage other contractors and/or entities to perform all categories of work on its behalf, including, without limitation, the same kind of work and/or services that CONTRACTOR shall be performing and/or providing pursuant to the CONTRACT.

ARTICLE 2 DEFINITIONS

2.1 Within the contract and unless otherwise specified, the following words, phrases and/or terms shall have the following meanings:

ACCEPTANCE CERTIFICATE means the certificate issued by COMPANY to CONTRACTOR and which shall state that the SERVICES have been satisfactorily performed and completed by CONTRACTOR in accordance with the requirements of the CONTRACT.

AFFILIATE means, in relation to any company, at any time, any other entity:

- (a) in which such company directly or indirectly controls more than fifty percent (50%) of the registered share capital or rights to vote; or
- (b) which directly or indirectly controls more than fifty percent (50%) of the registered share capital or rights to vote of such company; or
- (c) of which an entity as mentioned in (b) hereabove controls directly or indirectly more than fifty percent (50%) of the registered share capital or rights to vote.

APPLICABLE LAWS means all statutes, laws, treaties, ordinances, rules, regulations, by-laws, decrees, and the like, enacted or adopted by a federal, state and/or local legislative authority or any governmental authority or agency; and judgments, injunctions and/or orders of any court or arbitral tribunal, having jurisdiction over the PARTIES, the SERVICES the PERMIT AREA(S) and/or the WORKSITE(S), as may be applicable or specified in the PARTICULAR CONDITIONS. Any reference to any APPLICABLE LAW shall include all statutory, administrative and/or judicial provisions consolidating, amending or replacing such APPLICABLE LAW, and shall include all rules and regulations promulgated thereunder. .

CALL-OFF ORDER, PURCHASE ORDER or SERVICE ORDER means any document issued to CONTRACTOR requesting the performance of work and/or provision of services, based on terms and conditions as may be more specified in such document or in any existing contract, and governed by this General Conditions of Contract

CLAIM means any claim, demand, cause of action, proceedings, judgment, award (including reasonable legal fees, costs and expenses and sums paid by way of settlement), liability, loss, expense, penalty, fine and

damages and the like arising from, relating to, or in connection with the performance of the CONTRACT.

CLOSE FAMILY MEMBER means a spouse or partner of a PUBLIC OFFICIAL; one of his/her children, siblings or parents; the spouse or partner of his/her children or siblings; or any household member of a PUBLIC OFFICIAL.

COMMENCEMENT DATE means the date, as may be specified in the PARTICULAR CONDITIONS, where applicable, on which CONTRACTOR is requested to mobilise CONTRACTOR's PERSONNEL and EQUIPMENT to the WORKSITE, in accordance with the CONTRACT.

COMPANY means any Total company which is registered and incorporated in Nigeria, and engaged in upstream, exploration and production activities; and/or has any interest in any oil prospecting licence or oil mining lease issued by the Ministry of Petroleum Resources.

COMPANY GROUP means COMPANY, the PARTICIPANTS, if any, and, to the extent they are involved in the subject matter of the CONTRACT, its/their respective AFFILIATES and COMPANY's PERSONNEL, or any one of the foregoing, as the case may be, but shall not include any member of CONTRACTOR GROUP.

COMPANY REPRESENTATIVE means the PERSON designated by COMPANY who shall have full authority to represent COMPANY in all matters regarding the subject matter of the CONTRACT, except for modifying any of the provisions of the CONTRACT, as specified in the PARTICULAR CONDITIONS.

COMPLETION DATE means the date as may be specified in the PARTICULAR CONDITIONS, where applicable, on which the performance of the SERVICES is scheduled to be completed in accordance with the CONTRACT and CONTRACTOR has demobilised CONTRACTOR's PERSONNEL and CONTRACTOR's EQUIPMENT from WORKSITE.

CONSEQUENTIAL LOSS means any and all categories of damages, costs, losses, and/or expenses, incurred and/or suffered by any PARTY, which constitute and/or are deemed to amount to loss of: revenue, profit, anticipated profit, use, production, productivity, contracts, business opportunity, including financing costs and costs of obtaining and/or maintaining financing and losses, costs and/or expenses resulting from business interruption, deferral of production.

CONTRACT means, in descending order of priority, the following documents and any other documents attached to those with any future amendments thereto:

- (a) the PARTICULAR CONDITIONS
- (b) the General Conditions for Petroleum Services;
- (c) the health, safety, social (LOCAL COMMUNITY), security and environment requirements and any COMPANY's specifications set out in the specified ANNEX 2 and
- (d) Where applicable, CONTRACTOR's terms and conditions which may be expressly agreed to by COMPANY.

CONTRACTOR means the PERSON designated as such in the PARTICULAR CONDITIONS.

CONTRACTOR GROUP means CONTRACTOR, SUBCONTRACTORS, and, to the extent they are involved in the subject matter of the CONTRACT, his/their

AFFILIATES and CONTRACTOR's PERSONNEL, or any one of the foregoing, as the case may be, but shall not include any member of COMPANY GROUP.

CONTRACTOR REPRESENTATIVE means the PERSON designated by CONTRACTOR who shall have full authority to represent CONTRACTOR in all matters regarding the subject matter of the CONTRACT, except for modifying any of the provisions of the CONTRACT, as specified in the PARTICULAR CONDITIONS.

CONTRACTOR SOCIAL MANAGEMENT PLAN ("SMP") means the plan setting out details of the procedures and measures designed to manage the impacts of the performance of the SERVICES on the LOCAL COMMUNITIES, including the appropriate mitigation measures and monitoring.

EFFECTIVE DATE means the date, as specified in the PARTICULAR CONDITIONS, on which the CONTRACT comes into force.

EQUIPMENT means any and all property, equipment, materials, consumables and all other items which are necessary for the performance and/or provision of the SERVICES and which are to be supplied, used or consumed by CONTRACTOR GROUP in accordance with the requirements of the CONTRACT.

FORCE MAJEURE means the effective occurrence of any act, event or circumstance or combination thereof, which is unforeseeable, insurmountable and outside the control of the PARTY which invokes it, and which renders said PARTY unable to comply with whole or part of its/his obligations under the CONTRACT. However, FORCE MAJEURE shall not include events such as insolvency of any PARTY, strikes, lock-outs or other industrial disputes or actions, between CONTRACTOR and/or SUBCONTRACTORS and his/their PERSONNEL.

GOOD ENGINEERING AND OIL AND GAS FIELD PRACTICE means practices, methods and procedures and that degree of skill, diligence, prudence and foresight which would reasonably be expected to be observed by a skilled and experienced contractor of international repute engaged in carrying out activities the same as, or similar to, those contemplated under the CONTRACT under the same or similar circumstances.

GROSS NEGLIGENCE and/or WILFUL MISCONDUCT means any conduct (by act or failure to act, whether sole, contributory, joint or concurrent) of any PERSON with (a) a wanton disregard of GOOD ENGINEERING AND OIL AND GAS FIELD PRACTICE and/or any of the terms and conditions of the CONTRACT and/or (b) a wanton indifference to avoidable and harmful consequences that such PERSON should have known such conduct would have on the safety or property of another PERSON. For avoidance of doubt, GROSS NEGLIGENCE requires a significantly greater degree of lack of care than would be required to constitute simple negligence.

WILFUL MISCONDUCT means, for the purpose of the CONTRACT, any conduct (by act or failure to act, whether sole, contributory, joint or concurrent) of any PERSON with (a) an intentional or conscious or reckless disregard of GOOD ENGINEERING AND OIL AND GAS FIELD PRACTICE and/or any of the terms and conditions of the CONTRACT and/or (b) an utter or reckless disregard of avoidable and harmful consequences that such PERSON knew, or should have known, such conduct would have on the safety or property of another PERSON.

GROUP means either COMPANY GROUP or CONTRACTOR GROUP, as the case may be.

H3SE means Health, Safety, Social (LOCAL COMMUNITY), Security and Environment.-

INTELLECTUAL PROPERTY means:

- (a) all inventions (whether patentable or unpatentable and whether or not reduced to practice), all improvements thereto, and all patents, patent application, and patent disclosures, together with all re-issuances, continuations, continuations-in-part, revisions, extensions, and re-examinations thereof;
- (b) all marks, including trademarks, service marks, logos, slogans, trade names, and corporate names, together with all translations, adaptations, derivations, and combinations thereof and including all goodwill associated therewith, and all applications, registrations, and renewals in connection therewith;
- (c) all writings and other works subject to copyright protection, copyrightable works, all copyrights, and all design rights;
- (d) all database rights;
- (e) all trade secrets and confidential business information (including ideas, research and development, know-how, formulas, compositions, manufacturing and production processes and techniques, technical data, designs, drawings, specifications);
- (f) all computer software (including data, disks, licenses and related documentation);
- (g) all web sites and domain names, and the contents of all such web sites ; and,
- (h) any and all copies and tangible embodiments thereof (in whatever form or medium).

LOCAL COMMUNITY(IES) means those groups of people who live or work in the community(ies) of the WORKSITE(S) that might be impacted by any activity or the performance of the SERVICES.

PARTICIPANT, if any, means any PERSON with whom COMPANY has entered into an operating agreement or the like for the purposes of searching, developing and producing hydrocarbons in the PERMIT AREA(s) as specified in the PARTICULAR CONDITIONS.

PARTICULAR CONDITIONS means that separate written agreement, entered into by COMPANY and CONTRACTOR in respect of the SERVICES, which more specifically defines the object of the CONTRACT, the relationship between COMPANY and CONTRACTOR and states the conditions for performance of the SERVICES. The PARTICULAR CONDITIONS may be or include a CALL-OFF ORDER, PURCHASE ORDER or SERVICE ORDER, including all appendices and/or annexes attached thereto.

PARTY means either COMPANY or CONTRACTOR as the case may be and PARTIES shall be construed accordingly.

PERSON means any individual, company, firm, partnership, association or body corporate, as the case may be.

PERSONNEL means, as the case may be, the directors, officers, employees, agents and invitees of (a) CONTRACTOR GROUP (herein sometimes referred to as "CONTRACTOR's PERSONNEL"); and/or (b) COMPANY GROUP (herein sometimes referred to as "COMPANY's PERSONNEL").

PUBLIC OFFICIAL means an elected or appointed official, employee or agent of any national, regional or local government/state or department, agency or instrumentality of any such government/state or any enterprise in which such a government/state owns, directly or indirectly, a majority or controlling interest; an official of a political party; a candidate for public office; and any official, employee or agent of any public international organization.

SERVICE means all activities to be carried out by CONTRACTOR under the CONTRACT as specified in the PARTICULAR CONDITIONS.

SUBCONTRACTOR means any PERSON to whom CONTRACTOR has subcontracted directly or indirectly at any level the performance of all or any part of the SERVICES.

THIRD PARTY means any PERSON that is not a member of COMPANY GROUP or CONTRACTOR GROUP.

WORKSITE means the location where the SERVICES shall be performed as specified in the PARTICULAR CONDITIONS.

2.2 SIGNIFICANCE OF EXPRESSIONS

2.2.1 At any time and unless expressly stated otherwise, when the following expressions and description and derivatives thereof appear in the CONTRACT, their connotations shall be extended or limited as set out here below:

- "including", "included", "such as", "comprising", "comprise" and the like shall be deemed to be completed by the expression "but not limited to";
- "report", "require", "request", "submit", "answer", "notify", "instruct", "instruction", "state", "inform", "consent", "approve", "approval", "approved", "satisfaction" and the like shall be deemed to be completed by the expression "in writing";
- "days" shall mean "consecutive calendar days", it being understood that all dates and time periods referred to in the CONTRACT relate to the Gregorian calendar.
- "property" and "equipment" shall be deemed to include property and equipment owned, operated, hired, leased or otherwise provided by the relevant PERSON.

2.2.2 Where the context so requires, the singular includes the plural and vice versa and words of one gender include all genders.

2.2.3 The terms "he", "him" and "his" are used in relation to CONTRACTOR, whereas the terms "it" and "its" are used in relation to COMPANY.

2.2.4 Headings and table of content are inserted only for convenience and shall not in any way limit or govern the construction of the CONTRACT.

2.2.5 Approval or instruction by COMPANY shall in no way be construed as relieving CONTRACTOR of any of his obligations, responsibilities or liabilities under the CONTRACT or otherwise.

ARTICLE 3 DURATION

3.1 The duration of the CONTRACT shall be as specified in the PARTICULAR CONDITIONS.

3.2 In the event that the SERVICES are not completed by the date(s) stipulated in the PARTICULAR CONDITIONS, COMPANY shall have the right to extend the performance of the SERVICES for a further period, which shall be defined at the time of such extension.

ARTICLE 4 IMPLEMENTATION OF THE SERVICES

4.1 INDEPENDENT CONTRACTOR

4.1.1 CONTRACTOR represents that he possesses the necessary know-how, he is fully experienced and technically competent to perform the SERVICES and that he is properly financed, organised and equipped to perform such SERVICES.

4.1.2 CONTRACTOR shall conduct his operations in a lawful manner and shall exercise all care and diligence to prevent any actions or conditions which could result in a conflict with COMPANY's best interests.

CONTRACTOR shall manage, control and direct the SERVICES as an independent contractor and neither CONTRACTOR nor any of his SUBCONTRACTORS nor CONTRACTOR's PERSONNEL shall be deemed for any purpose to be the employee, agent, servant or representative of COMPANY in performing the SERVICES described herein.

Any provisions of this CONTRACT or behaviour which may appear to give COMPANY or COMPANY REPRESENTATIVE the right or deemed to be a right to direct or control CONTRACTOR as to the details of performing the SERVICES, or to exercise any measure of control over the SERVICES, is deemed to mean that CONTRACTOR must follow the requirements of COMPANY or COMPANY REPRESENTATIVE in the results of the SERVICES only and not in the means or methods by which the SERVICES are to be accomplished and CONTRACTOR maintains the complete right, obligation and authoritative control over the SERVICES as to the manner, means or details as to how to perform the SERVICES. CONTRACTOR shall perform all obligations and duties under the CONTRACT at his own costs and expenses (including but not limited to salaries, bonuses, insurance and social welfare contributions of any kind related to CONTRACTOR's PERSONNEL), risk and responsibility, in due compliance with the provisions of the CONTRACT and with the APPLICABLE LAWS.

4.2 Subject to the provisions of sub-Article 4.1.2, COMPANY shall have the right to instruct CONTRACTOR as to the program to be followed in the performance of the SERVICES and to inspect the performance of the SERVICES at all stages of execution in order to ascertain that the results are being obtained and that the SERVICES are being performed in accordance with the CONTRACT.

4.3 CONTRACTOR shall remain solely responsible and liable for compliance with the requirements of the CONTRACT by all SUBCONTRACTORS and COMPANY's rights and interests shall not be affected in any way. CONTRACTOR shall be liable to COMPANY for a breach of this CONTRACT by any member of CONTRACTOR GROUP.

COMPANY reserves the right to reject, or request replacement of, any SUBCONTRACTOR not in

compliance with the Anti-corruption Compliance provisions in the CONTRACT.

CONTRACTOR shall comply with all APPLICABLE LAWS.

CONTRACTOR shall endeavour to use, as far as it is compatible with the performance of the SERVICES and provided that prices, including transportation, taxes, qualities and delivery dates remain comparable, such labour, materials, equipment and services that are available in Nigeria.

4.4 CONTRACTOR shall perform his obligations under the CONTRACT and the SERVICES in accordance with the CONTRACT, GOOD ENGINEERING AND OIL AND GAS FIELD PRACTICE, and in a good, safe and workmanlike manner, consistently with his status as an independent contractor, all with due diligence and care and without unnecessary delays or interruptions.

4.4.1 If the SERVICES involve using software and/or data bases provided by COMPANY, then the following principles must be contemplated by CONTRACTOR:

The software and/or databases, and/or data provided by COMPANY as part of the CONTRACT are protected by INTELLECTUAL PROPERTY rights. CONTRACTOR undertakes:

- To secure them from the time of reception (safe box or computer system capable to deny access to any unauthorized user), to install and use them only on fixed workstations allocated to the designated users that will take part in the performance of the SERVICES (or if the use in a networking environment is unavoidable, to grant access only to the designated users), and to give all instructions to forbid copy of any sort, neither electronic nor paper.
- To use them only for the purpose of the SERVICES, and in particular in the eventuality the source code is provided, to forbid any extraction of a part of the software (such as algorithm, source code, data model, utility and display screens) or, if the object code is provided, to forbid any disassembling, other than for the SERVICES.
- To return to COMPANY at the termination of the CONTRACT all storage media and documents provided, and to destroy no later than six (6) months after the termination of the CONTRACT all the computer media and documents kept until then, and to physically discard or erase all the software and/or databases installed on fixed workstations or on CONTRACTOR's network, unless otherwise informed by COMPANY (for instance in the eventuality of a future maintenance).
- Not to file and to forbid filing of any INTELLECTUAL PROPERTY rights related to any part of the software, database or data provided by COMPANY.
- To ensure that each and every CONTRACTOR's PERSONNEL involved in the performance of the SERVICES abide by the above mentioned obligations.

If the SERVICES involve direct or indirect access to COMPANY's information system, then CONTRACTOR shall refer to and scrupulously abide by all prevailing rules

and regulations in force on the WORKSITE regarding such access.

4.5 PREVENTION AGAINST ILLEGAL EMPLOYMENT

4.5.1 CONTRACTOR declaration and warranty

CONTRACTOR warrants that he is legally capable and authorised to enter into the CONTRACT, and perform the SERVICES, particularly with respect to all civil administration, tax and immigration authorities. CONTRACTOR hereby confirms that all his PERSONNEL engaged in the performance of the SERVICES are legally employed and he is fully in compliance with labour law regulations applicable to him, and certifies that he has made all legal registrations and regulatory social and tax declarations and payments to the relevant and appropriate authorities.

4.5.2 Failure of CONTRACTOR to comply with sub-Article 4.5.1

Should CONTRACTOR be in default of the provisions of sub-Article 4.5.1 hereof, for a period of fourteen (14) or more continuous days; COMPANY, shall, after giving a seven (7) day written notice to remedy such default, have the right to terminate the CONTRACT without compensation to CONTRACTOR, other than payment for the SERVICES satisfactorily performed up to the date of termination.

4.6 CONTRACTOR shall receive from COMPANY all documents and specifications required for the proper performance of the SERVICES. In the absence of a written request on his part, CONTRACTOR is considered as having all information required for the proper performance of the SERVICES.

4.7 CONTRACTOR hereby declares and warrants that prior to entering into the CONTRACT; he has fully acquainted himself with all relevant conditions which could affect the performance of the SERVICES; including, particularly, the conditions of the WORKSITE.

4.8 CONTRACTOR hereby declares that he is fully satisfied as to the correctness and completeness of the CONTRACT and that they are in all points fit and sufficient for their intended purpose.

4.9 WARRANTY OBLIGATIONS

CONTRACTOR warrants that he shall perform the SERVICES in accordance with the CONTRACT. If the whole or part of the performance of the SERVICES is found defective by COMPANY before the issuance of the ACCEPTANCE CERTIFICATE, CONTRACTOR shall re-perform such SERVICES, at his own costs and expenses.

If, for a period of twelve (12) months from the date of issuance of the ACCEPTANCE CERTIFICATE, the results of the SERVICES are found defective and/or the CONTRACTOR is found to be in breach of any applicable warranty obligations, upon notice by COMPANY of any such defect and/or breach, CONTRACTOR shall immediately remedy such defect or breach and/or re-perform the SERVICES, at no cost to COMPANY.

CONTRACTOR shall warrant such remedied defect or breach or the re-performed portion of the SERVICES for a further period of twelve (12) months from the effective acceptance of such SERVICES.

Should CONTRACTOR fail to comply with COMPANY's notice, COMPANY shall be entitled, at its sole discretion, to instruct other contractors to remedy such defect or breach and/ or re-perform the SERVICES, at CONTRACTOR's costs and expenses.

- 4.10** CONTRACTOR acknowledges that, for the performance of the SERVICES, in accordance with the program and time schedule as specified in the PARTICULAR CONDITIONS, time is of the utmost importance and that the completion of the SERVICES by the COMPLETION DATE is an essential condition of the CONTRACT.

CONTRACTOR hereby undertakes to complete the SERVICES by the COMPLETION DATE; and to make every effort to reduce, to a minimum, any stand-by of COMPANY GROUP's property and equipment, including without limitation, Drilling Rigs, Production Platforms, Supply Vessels and Helicopters, which may be used by COMPANY in the performance of the SERVICES by CONTRACTOR.

- 4.11** CONTRACTOR shall be responsible for obtaining and maintaining, at his own cost, all permits and/or governmental authorisations necessary for the performance of the SERVICES.

ARTICLE 5 CONTRACTOR'S EQUIPMENT

- 5.1** CONTRACTOR represents and warrants that he has full and lawful rights and powers to use his EQUIPMENT for the purpose of the CONTRACT.
- 5.2** CONTRACTOR shall ensure that his EQUIPMENT is fit for the use it is intended for and shall maintain same at all times in good operating condition with appropriate and uninterrupted valid certification and in accordance with the APPLICABLE LAWS and the CONTRACT.
- 5.3** CONTRACTOR shall repair or replace any EQUIPMENT which is not in good operating condition and/or not in accordance with the APPLICABLE LAWS and the CONTRACT or which is otherwise defective, without any undue delay and at his own cost.
- 5.4** CONTRACTOR shall mobilise and demobilise all EQUIPMENT, at his own cost, between the point of origin and COMPANY's base and/or the WORKSITE as specified in the CONTRACT.
- 5.5** CONTRACTOR shall be solely responsible for the inspection, maintenance and repairs of his EQUIPMENT at all times, including all costs and/or expenses related thereto and the PERSONNEL required to perform such maintenance.
- 5.6** CONTRACTOR shall have available, at all times, a sufficient stock of consumable products, spare parts and tools necessary for the use, maintenance and repair of the EQUIPMENT, the cost of which is included in CONTRACTOR's remuneration.
- 5.7** CONTRACTOR shall be responsible for, and shall bear the costs and/or expenses incurred in respect of, related to and/or connected with the importation and/or exportation of the EQUIPMENT consumables products, spare parts and tools into and/or out of the relevant countries of origin and delivery, as the case may be.

- 5.8** CONTRACTOR shall, whenever possible and for the performance of the SERVICES, use locally available equipment or materials if they are available at competitive prices and delivery.

- 5.9** CONTRACTOR shall exercise the utmost degree of care where CONTRACTOR uses or has custody of any property and/or equipment owned, leased and/or operated by or on behalf of COMPANY GROUP and/or COMPANY's other contractors. .

CONTRACTOR shall visually inspect such property and/or equipment before using or taking custody of same, and shall notify COMPANY of any apparent defects therein. CONTRACTOR's use of such property and/or equipment without notifying COMPANY of any apparent defect before use shall be deemed to be conclusive evidence that such properties and equipments were free from apparent defect.

ARTICLE 6 CONDITIONS APPLICABLE TO TRAVEL - CONTRACTOR'S PERSONNEL

6.1 CONDITIONS APPLICABLE TO TRAVEL

- 6.1.1** Any travel of CONTRACTOR's PERSONNEL for the purpose of the SERVICES shall be subject to previous written approval by and/or notification to COMPANY, as the case may be.
- 6.1.2** CONTRACTOR shall carry out diligently the necessary formalities related to the performance of the SERVICES within the country of the WORKSITE. COMPANY may assist CONTRACTOR with administrative formalities associated with the performance of any SERVICES in the relating country. CONTRACTOR shall provide to COMPANY a copy of the visas obtained for CONTRACTOR's PERSONNEL for the performance of the SERVICES within the country of the WORKSITE.
- 6.1.3** Where same is previously agreed between the PARTIES, and subject to COMPANY's prior written approval per occurrence, COMPANY shall reimburse CONTRACTOR for the actual and documented cost of travel and accommodation from one WORKSITE to another, associated with the performance of the SERVICES. Without prejudice to the foregoing, COMPANY may, at its sole option, provide CONTRACTOR with required transportation, accommodation and meals.
- 6.1.4** Travel days: CONTRACTOR shall be entitled to only fifty percent (50%) of the applicable day rate specified in the PARTICULAR CONDITIONS per day of any return journey between an international port of departure and the WORKSITE; provided always that such travel is directly related to and/or connected with the performance of the SERVICES.

Unless otherwise specified in the PARTICULAR CONDITIONS, COMPANY shall provide at its own cost the transportation of CONTRACTOR's PERSONNEL between COMPANY's base and any WORKSITE located offshore.

For the avoidance of doubt, COMPANY's involvement in the transportation of CONTRACTOR's PERSONNEL shall be limited to the issuance of travel tickets. COMPANY shall not be liable for any costs, expenses, loss, damage, destruction, sickness, and/or death which may be incurred and/or suffered by CONTRACTOR arising out of, connected with and/or related to the use of any issued travel tickets for the transportation of CONTRACTOR's PERSONNEL by air, sea or land.

6.2 CONTRACTOR's PERSONNEL

6.2.1 CONTRACTOR's PERSONNEL shall be appropriately trained, competent, skilled, experienced and in sufficient number as may be required for the proper and efficient performance of the SERVICES

CONTRACTOR shall maintain records and certificates of all such training and shall provide such records and certificates to COMPANY immediately upon its request. CONTRACTOR shall be solely responsible and liable for all costs related to such trainings.

6.2.2 CONTRACTOR shall organise CONTRACTOR's PERSONNEL teams so that no language issues arise between and among the PARTIES or among CONTRACTOR's PERSONNEL.

6.2.3 CONTRACTOR shall attempt to limit changes in the composition of the team of CONTRACTOR's PERSONNEL. CONTRACTOR undertakes not to change the composition of the team designated to perform the SERVICES except with similarly qualified PERSONNEL.

6.2.4 In the event of default, shortcoming, illness, personal and bodily injury, professional inadequacy, serious misconduct, error, negligence, or non-compliance with discipline, H3SE or WORKSITE regulations or APPLICABLE LAWS by any of CONTRACTOR's PERSONNEL, CONTRACTOR shall promptly replace, at his own expense, whether requested by COMPANY or not, such PERSONNEL.

ARTICLE 7 HEALTH, SAFETY, SOCIAL (LOCAL COMMUNITY), SECURITY AND ENVIRONMENT ("H3SE") AND QUALITY

7.1 H3SE

7.1.1 CONTRACTOR undertakes on his behalf and on behalf of his SUBCONTRACTORS (if any), to:

- Facilitate the coordination of the performance of the SERVICES with the activities of COMPANY and those of THIRD PARTIES who are present on the WORKSITE; and
- Prevent the risks of any bodily injury and damage to property during the performance of the SERVICES.
- The language used for H3SE issues shall be appropriate to ensure proper communication among CONTRACTOR's PERSONNEL.
- CONTRACTOR shall comply and ensure that CONTRACTOR's PERSONNEL is fully aware of and comply with the rules in force on the WORKSITE with regard to working conditions, health, hygiene, safety and environment as well as with the APPLICABLE LAWS in respect of the same. CONTRACTOR shall:
- Ensure that CONTRACTOR's PERSONNEL are qualified to use all fittings, equipment and tools required for the performance of the SERVICES and hold the appropriate certificates of proficiency;

- Ensure that no part of the SERVICES is performed by CONTRACTOR's PERSONNEL, under the influence of alcohol, drugs or any other illegal substance; CONTRACTOR shall comply with COMPANY's policy in force regarding smoking restrictions and prohibition of alcohol and drugs and shall be responsible for its implementation within CONTRACTOR GROUP.

- Cease, immediately and at his own expenses, any situation or activity under his control, which is dangerous or harmful to anyone's health, is unhygienic or poses a safety threat to the environment.

- Ensure that working hours and rotation period duration as well as ergonomic conditions comply with the APPLICABLE LAWS and do not increase occupational risks.

- Have a driving policy in place compliant with COMPANY's driving policy. It shall be communicated to all CONTRACTOR's PERSONNEL.

- Ensure that awareness of CONTRACTOR's PERSONNEL to H3SE is continuously maintained and enhanced through an appropriate training plan. Such training plan shall be in place at COMMENCEMENT DATE.

- Demonstrate that CONTRACTOR's PERSONNEL have carried out the necessary H3SE training applicable to the intended SERVICES and to the WORKSITE (e.g. offshore sea survival). The content of the H3SE training and certificates shall be made available to COMPANY upon request.

- Have a medical fitness control policy and shall be responsible for its implementation. Fit to work certificates shall be made available to COMPANY upon request. CONTRACTOR shall perform all relevant assessments to ensure that CONTRACTOR's PERSONNEL involved in the SERVICES is medically fit for the job it is assigned to.

- Have an incident management system in place to identify report, analyze and correct unsafe acts or conditions at WORKSITE. CONTRACTOR shall immediately report to COMPANY any incident or accident occurring during the performance of the SERVICES, and provide and implement at the soonest the associated corrective action plans. CONTRACTOR shall ensure that the result of the analysis of incidents and unsafe acts / conditions shall be considered and taken into account during preparation of CONTRACTOR activities.

7.1.2 When carrying out the SERVICES on the WORKSITE, CONTRACTOR shall ensure that CONTRACTOR GROUP follow COMPANY Permit To Work System (PTW) in force therein including associated complementary permits and certificates.,

7.1.3 Unless otherwise stated, CONTRACTOR shall be responsible for providing medical services, first aid facilities and medical evacuation for all CONTRACTOR's PERSONNEL for the performance of the SERVICES.

7.1.4 CONTRACTOR shall ensure that the PERSONNEL involved in the SERVICES at WORKSITE is always equipped with the appropriate Personal Protective Equipment (PPE).

7.1.5 CONTRACTOR shall comply with COMPANY's policy regarding housekeeping, hygiene and sanitary issues.

7.1.6 Prior to the COMMENCEMENT DATE, CONTRACTOR shall submit for COMPANY's review, written procedures for any SERVICES involving the use of hazardous substances or materials. CONTRACTOR shall ensure the proper implementation of the procedures for the inventory, handling, storage, utilisation and final disposal of any substances or material used for the performance of the SERVICES and considered as hazardous to health under the relevant regulations. Without prejudice of any other remedies available to COMPANY under the CONTRACT, failure to comply with requirements of this sub-Article shall entitle COMPANY to reject the said hazardous substances or materials.

7.1.7 The respect for the Environment shall be a constant concern of CONTRACTOR within all levels of his organization. CONTRACTOR shall identify and evaluate all potential impacts of his activities on the Environment and implement the appropriate mitigation measures to minimize those impacts.

7.1.8 CONTRACTOR shall take into account relevant impacts factors and, such as, but not limited to:

- footprint, energy consumption, emissions to the atmosphere in particular greenhouse gas emissions, use of natural resources, domestic and industrial waste production, use of chemicals, discharges to water, noise, odour and the like, including accidental discharges.

7.1.9 CONTRACTOR shall regularly monitor, record and report to COMPANY significant environmental impact factors.

7.1.10 CONTRACTOR shall perform a formal and documented job risk assessments prior to initiating potentially hazardous activities.

7.1.11 CONTRACTOR shall report immediately any accidental polluting discharges to the Environment.

7.1.12 Upon completion of the SERVICES, CONTRACTOR shall promptly remove at his own cost, before leaving the WORKSITE(S), any surplus of materials or equipment, temporary facilities and/or constructions, material storage, wreck or waste resulting from the performance of the SERVICES.

7.1.13 Prior to the COMMENCEMENT DATE, COMPANY and CONTRACTOR shall exchange all useful information available to them related to the socio-economic context, impact and initial status of the WORKSITE(S).

7.1.14 CONTRACTOR shall adopt a constructive attitude based on open dialogue with the THIRD PARTY and pay due regard to the LOCAL COMMUNITY (LOCAL COMMUNITY means those groups of people who live or work sufficiently nearby the WORKSITE(S) that might be potentially impacted by the SERVICES).

7.1.15 CONTRACTOR shall respect, on a continuous basis, the Environment and culture of the LOCAL COMMUNITY.

7.1.16 CONTRACTOR shall take all necessary actions to limit the socio-economic impact of the SERVICES on LOCAL COMMUNITY.

7.1.17 CONTRACTOR shall record and report to COMPANY in a timely and effective manner any grievance made by LOCAL COMMUNITY related to any impact or incident during the performance of the SERVICES. CONTRACTOR and COMPANY shall agree on any appropriate measures to address such grievances.

7.1.18 COMPANY and CONTRACTOR intend to implement, at any WORKSITE, the protection measures against potential threats to the PERSONNEL working in such WORKSITE and the physical assets located therein. Such measures shall be the most appropriate in the circumstances and consistent with APPLICABLE LAWS and the following international standards:

- The Universal Declaration of Human Rights of the United Nations (UN)
- The Voluntary Principles on Security and Human Rights,
- The UN code of conduct for Law Enforcement Officials,
- The UN Principles on the use of force and firearms,

7.1.19 In the event of non-compliance with any of the foregoing obligations, COMPANY:

- (a) May take or cause to be taken immediately and without notice, at CONTRACTOR's expenses, all measures which it deems appropriate if in COMPANY's opinion such measures have not been taken or not implemented promptly enough by CONTRACTOR, and
- (b) Reserves the right to deny CONTRACTOR and/or his SUBCONTRACTORS (if any), access to or continued presence on the WORKSITE.

7.1.20 Without limiting sub-Article 7.2.1, COMPANY shall be entitled to inspect at reasonable times the WORKSITES (including CONTRACTOR's premises) and audit work records to ascertain the personnel of CONTRACTOR GROUP's compliance with the H3SE requirements of the CONTRACT.

7.1.21 CONTRACTOR shall periodically assess his H3SE policy and performance during audits, inspections and internal reviews. CONTRACTOR shall perform periodical H3SE audits and inspections of CONTRACTOR's PERSONNEL and CONTRACTOR's EQUIPMENT during the performance of SERVICES at WORKSITES. CONTRACTOR shall define and implement an action plan based on the conclusions of such audits and inspections.

7.1.22 All consequences arising from CONTRACTOR's non-compliance with any foregoing obligations, including any costs associated with the implementation of the measures taken by COMPANY in the event of deficiency or negligence on the part of CONTRACTOR and the denial of access or of continued presence on the WORKSITE, shall be borne solely by CONTRACTOR.

7.1.23 In the event of non-performance by CONTRACTOR of any of the obligations set out in this Article 7, COMPANY shall have the right to terminate the CONTRACT in accordance with the provisions of sub-Article 13.10.

7.2 QUALITY

7.2.1 Audits and/or quality controls

CONTRACTOR represents and warrants that he has a quality management system in place.

Provided CONTRACTOR is given three (3) calendar days' advance notice, COMPANY (or its representative) shall be entitled to carry out audits and/or quality controls on the WORKSITE and/or in CONTRACTOR GROUP's premises. Such audits and/or quality controls shall not in any way lessen CONTRACTOR's responsibility, in particular with regard to the extent of his own controls, and shall not affect COMPANY's right to refuse acceptance of all or any portion of the SERVICES. CONTRACTOR shall provide to COMPANY all assistance necessary for carrying out such audits and/or quality controls.

7.2.2 Traceability

In respect of any equipment and tools used by CONTRACTOR and the elements delivered to COMPANY in connection with the SERVICES, CONTRACTOR undertakes, upon COMPANY's written request, to provide COMPANY with:

- All information necessary to identify the origin, place and date of manufacture of the same;
- The results of the controls carried out;
- Any other relevant information, such as serial or batch numbers.

ARTICLE 8 COMPANY'S OBLIGATIONS

8.1 STATUS OF COMPANY

- (a) COMPANY enters into the CONTRACT for itself and on behalf of the PARTICIPANTS, if any.
- (b) CONTRACTOR agrees to look only to COMPANY for the due performance of the CONTRACT and nothing contained in the CONTRACT will impose any liability upon, or entitle CONTRACTOR to commence any proceedings against, any PARTICIPANT; and
- (c) COMPANY is entitled to enforce the CONTRACT on behalf of all PARTICIPANTS as well as on its own. For that purpose, COMPANY may commence proceedings in its own name to enforce all obligations and liabilities of CONTRACTOR and to make any CLAIM which any PARTICIPANT may have against CONTRACTOR; and
- (d) All losses, damages, costs (including legal costs) and expenses recoverable by COMPANY pursuant to the CONTRACT or otherwise shall include the losses, damages, costs (including legal costs) and expenses of the PARTICIPANTS and its and their respective AFFILIATES except that such losses, damages, costs (including legal costs) and expenses shall be subject to the same limitations or exclusions of liability as are applicable to COMPANY or CONTRACTOR under the CONTRACT.

8.2 COMPANY'S GENERAL OBLIGATIONS

8.2.1 COMPANY may elect to provide at its own cost, but at CONTRACTOR's risk, the transportation of CONTRACTOR's PERSONNEL between COMPANY's base and the WORKSITE if the WORKSITE is located offshore.

8.2.2 If according to the provisions of sub-Article 5.4, CONTRACTOR only mobilises and demobilises to COMPANY's base, COMPANY may elect to provide at its own cost, but at CONTRACTOR's risk, the transportation of CONTRACTOR's EQUIPMENT between COMPANY's base and the WORKSITE when offshore.

8.2.3 COMPANY shall provide to CONTRACTOR technical documents relating to the WORKSITE necessary for the performance of the SERVICES, and COMPANY's operational procedures and regulations (including H3SE), and any addendum or modification thereto, applicable at the WORKSITE.

ARTICLE 9 LIABILITIES

9.1 LIABILITIES BETWEEN THE PARTIES

9.1.1 Property

- (a) CONTRACTOR waives all rights of recourse against and shall defend, indemnify and hold harmless COMPANY GROUP from and against any CLAIM in respect of loss of or damage to any property and/or EQUIPMENT, materials, consumables and such other items which are owned, leased, operated and/or brought to the WORKSITE or COMPANY's Base by any member of CONTRACTOR GROUP.
- (b) COMPANY waives all rights of recourse against and shall defend, indemnify and hold harmless CONTRACTOR GROUP from and against any CLAIM in respect of loss of and/or damage to COMPANY GROUP's property and equipment, materials, incidental supplies, consumables, utilities, tools, facilities owned, leased and/or operated by or on behalf of COMPANY; **PROVIDED ALWAYS** that where any damage or loss is attributable to any act or omission of any member of CONTRACTOR GROUP, CONTRACTOR shall bear the first Two Hundred and Fifty Thousand Dollars (\$250,000) of the cost of such loss and/or damage, per occurrence

9.1.2 Materials and/or Equipment supplied by COMPANY or by COMPANY's other contractors

Should CONTRACTOR be required for the purpose of the SERVICES to incorporate, connect or use materials and/or equipments supplied to CONTRACTOR by COMPANY or by COMPANY's other contractors, then CONTRACTOR shall carry out the inspection referred to in sub-article 5.9.

Without prejudice to the provision of sub-Articles 5.9 and 9.1.1 (b) hereof, COMPANY waives all rights of recourse against and shall defend, indemnify and hold harmless CONTRACTOR GROUP from and against any CLAIM in respect of loss of and/or damage to materials and/or equipment whilst under CONTRACTOR GROUP's custody, unless such loss and/or damage is attributable to CONTRACTOR's GROSS NEGLIGENCE and/or WILFUL MISCONDUCT and until:

- (a) in the case of any item incorporated, to be incorporated or to be used for the SERVICES or the work, the completion of the SERVICES;
- (b) in all other cases, when the item is returned to COMPANY or to any other COMPANY's contractor duly nominated;

9.1.3 CONSEQUENTIAL LOSS

Subject to and without prejudice to the applicable provisions on liquidated damages or other compensation provisions stipulated for delay, non-performance or otherwise in the CONTRACT, each PARTY hereby waives all rights of recourse against and shall defend, indemnify and hold harmless the other PARTY from and against any and all CONSEQUENTIAL LOSS arising out of, relating to and/or connected with the performance of the SERVICES.

9.1.4 PERSONNEL

Each PARTY waives all rights of recourse against and shall defend, indemnify and hold harmless the other PARTY from and against any CLAIM in respect of personal or bodily injury, including death, sickness or disease and any loss of or damage to property of such PARTY's PERSONNEL.

9.2 **LIABILITIES TOWARDS THIRD PARTY**

9.2.1 Except as otherwise provided for in sub-Article 9.2.30, CONTRACTOR shall defend, indemnify and hold harmless COMPANY GROUP from and against any CLAIM in respect of damage to, or loss of THIRD PARTY's property and equipment, including CONSEQUENTIAL LOSS and personal and bodily injury including death, sickness or disease of any THIRD PARTY, caused by CONTRACTOR GROUP or by property or equipment under their care, control and custody and arising out of, or in relation to the performance of the CONTRACT.

9.2.2 COMPANY shall defend, indemnify and hold harmless CONTRACTOR GROUP from and against any CLAIM in respect of damage to, or loss of THIRD PARTY's property and equipment, including CONSEQUENTIAL LOSS and personal and bodily injury including death, sickness or disease of any THIRD PARTY, caused by COMPANY GROUP and arising out of, or in relation to the performance of the CONTRACT.

9.2.3 COMPANY shall defend, indemnify and hold harmless CONTRACTOR GROUP from and against any CLAIM in respect of damage to, or loss of THIRD PARTY's property and equipment and/or for personal and bodily injury, including death, sickness, or disease of a THIRD PARTY resulting from blow-out, uncontrolled well-flow, cratering, escape of oil and/or gas from a well or any other manifestation emanating from a well owned and/or operated by COMPANY GROUP. However, when such damage or loss is caused by any of CONTRACTOR GROUP, CONTRACTOR shall bear the first Two Hundred and Fifty Thousand Dollars (\$250,000) of the cost of such loss and/or damage, per occurrence.

9.3 **MUTUAL INDEMNITY AND WAIVER OF RECOURSE AGREEMENT**

CONTRACTOR shall sign the ANNEX 1/A Deed of Mutual indemnity and Waiver of Recourse and shall procure the signature of each of his SUBCONTRACTORS, at every level, working on WORKSITE, of a like Deed of Mutual indemnity and Waiver of Recourse in the form set out in ANNEX 1/B for SUBCONTRACTORS.

CONTRACTOR shall immediately advise COMPANY of any potential SUBCONTRACTOR who has refused to sign the said Deed.

9.4 **INFRINGEMENT OF INTELLECTUAL PROPERTY RIGHTS**

CONTRACTOR shall be solely liable for the consequences of any and all infringements of INTELLECTUAL PROPERTY rights belonging to any THIRD PARTY by any of the results of the SERVICES, including, but not limited to, any Final Report which may be issued by CONTRACTOR; or other items that CONTRACTOR GROUP may provide to COMPANY, including the use and/or operation of CONTRACTOR's EQUIPMENT; except where such infringement arises directly and solely as a result of:

- (i) an act or omission of any member of COMPANY GROUP; or
- (ii) through any property and/or equipment owned by COMPANY GROUP; or
- (iii) processes expressly stipulated by COMPANY to be used by CONTRACTOR GROUP.

However, if CONTRACTOR has or acquires knowledge of any INTELLECTUAL PROPERTY right belonging to any THIRD PARTY in respect of which a suit for infringement could reasonably be brought because of the use by CONTRACTOR of such COMPANY GROUP's property and equipment or processes expressly stipulated by COMPANY, CONTRACTOR shall promptly give notice to COMPANY of such knowledge. COMPANY shall be solely liable for the consequences of any and all infringements of intellectual property rights arising out of the use of any of COMPANY GROUP's property and equipment or processes expressly stipulated by COMPANY.

9.5 **HOLDING HARMLESS**

Waivers of recourse, exclusions and indemnities given under the CONTRACT shall apply irrespective of cause and notwithstanding the negligence (excluding GROSS NEGLIGENCE and/or WILFUL MISCONDUCT, unless otherwise expressly provided in the CONTRACT), breach of duty (statutory or otherwise) or other failure of any nature the indemnified GROUP and shall apply irrespective of any CLAIM in tort, contract or otherwise at law.

All indemnities under the CONTRACT shall be full and primary and shall be enforceable irrespective of any separate right of indemnity or contribution from any PERSON unless otherwise provided for herein. Notwithstanding the above, waivers of recourse, liabilities, exclusions and indemnities given under the CONTRACT shall not apply in case of GROSS NEGLIGENCE and/or WILFUL MISCONDUCT of the indemnified GROUP.

Whenever a PARTY or any other member of COMPANY GROUP or CONTRACTOR GROUP is pursued in respect of any loss, damage, bodily injury including death, sickness or disease, then the PARTY that is liable therefore under the provisions of the CONTRACT, shall defend, indemnify and hold harmless the former.

Whenever a PARTY or any other member of COMPANY GROUP or CONTRACTOR GROUP is obliged or held responsible to pay, pursuant to a judgment, a sum for which the other PARTY is liable under the provisions of the CONTRACT, the latter shall reimburse and indemnify the former without delay.

9.6 SPECIAL PROVISIONS

The waivers of recourse, indemnities and hold harmless provisions provided by one GROUP to the other GROUP in this ARTICLE 9 shall benefit to the insurers of the indemnified GROUP.

The provisions set out in this ARTICLE 9 shall apply notwithstanding any limit of liability, if any, stipulated in the CONTRACT.

ARTICLE 10 INSURANCES

10.1 CONTRACTOR shall at his own cost and expense obtain and maintain or cause his SUBCONTRACTORS to obtain and maintain in full force and effect throughout the duration of the CONTRACT and any extensions thereof, the following insurances from insurers acceptable to COMPANY for specified amounts or their equivalent in another currency acceptable by COMPANY, it being understood that the risks may be covered by insurance policies in a different way than the one indicated beneath provided that all such risks are properly covered:

- (a) Workmen's Compensation Insurance to comply fully with APPLICABLE LAWS and agreements made with employees.
- (b) Employer's Liability Insurance to include cover for legal expenses anywhere in the world, with a limit of not less than United States Dollars five million (USD 5,000,000) per occurrence or the limit required by APPLICABLE LAWS, whichever is the highest whereby an employer shall secure compensation to his employees to the extent required by law and agreement with employees. This policy shall provide that a CLAIM "in rem" shall be treated as a CLAIM against employer.
- (c) Comprehensive General Liability Insurance including Pollution Insurance and product liability resulting from the SERVICES with a combined single limit of not less than United States Dollars five million (USD 5,000,000) per occurrence.
- (d) Automobile Public Liability Insurance (whenever automobiles and automotive equipment are employed by CONTRACTOR for the performance of the SERVICES) in respect of all automobiles and automotive equipment employed by CONTRACTOR (whether as owner or hirer or otherwise) hereunder for not less than the limits required by APPLICABLE LAWS or for United States Dollars one million (USD 1,000,000) combined single limit per occurrence, whichever is the highest.

(e) All risk insurance covering the full value of CONTRACTOR's EQUIPMENT employed by CONTRACTOR hereunder. This policy shall include a separate coverage for cost of rising and removal of sunken object or craft, wreckage or debris of CONTRACTOR's EQUIPMENT. This policy shall respond when such removal is compulsory under any APPLICABLE LAWS or when COMPANY is liable for removal of such sunken object or craft, wreckage or debris under its contract with GOVERNMENT or where such sunken object or craft, wreckage or debris interferes with COMPANY's normal operations. CONTRACTOR will advise COMPANY upon request, of the applicable deductibles.

(f) any and all insurances required by APPLICABLE LAWS and required for covering all of the risks that may arise in connection with the performance of the supply pursuant to the CONTRACT.

(g) CONTRACTOR will advise COMPANY, upon request, of the applicable deductibles.

10.2 The insurance amounts indicated here above are minimum requirements and not limits of liability. They should not be construed as COMPANY's consent to substitute its financial liability in excess of the limits specified above, except as otherwise agreed in the CONTRACT.

10.3 Upon request, CONTRACTOR shall provide COMPANY with (an) insurance certificate(s) provided by his insurer(s) certifying the existence, the duration and the compliance of the policy (ies) with the PARTICULAR CONDITIONS of SERVICES.

10.4 CONTRACTOR shall ensure that each other member of CONTRACTOR GROUP is properly insured for his liabilities compatible with the provisions of Article 9.

10.5 CONTRACTOR's insurances shall contain provisions whereby the insurers waive their rights of subrogation against COMPANY GROUP to the extent of the liabilities and indemnities assumed by CONTRACTOR under the CONTRACT and, if applicable, against the signatories bound by the mutual indemnity and waiver of recourse document to be found in ANNEX 1/A or 1/B and referred to under Article 9.3.

10.6 COMPANY's insurances shall contain provisions whereby the insurers waive their rights of subrogation against CONTRACTOR GROUP to the extent of the liabilities and indemnities assumed by COMPANY under the CONTRACT.

ARTICLE 11 FINANCIAL CONDITIONS

11.1 CONTRACTOR'S REMUNERATION

11.1.1 Payment shall be subject to a valid registration of CONTRACTOR in COMPANY system. CONTRACTOR shall therefore ensure the registration process has been fully completed and that any required item (including current DPR Certificate, current TAX Clearance Certificate, VAT registration number; Certificate of Incorporation, bank details and account number) are valid and updated as necessary.

11.1.2 No remuneration shall be paid to CONTRACTOR other than the remuneration stipulated in the PARTICULAR CONDITIONS.

11.1.3 Except for any clause stipulating any revision in the PARTICULAR CONDITIONS, CONTRACTOR's remuneration remains firm and non-revisable for the duration of the CONTRACT.

11.2 INVOICING

11.2.1 Acceptance of the SERVICES

CONTRACTOR shall, within thirty (30) days upon completion of the SERVICES, submit for COMPANY REPRESENTATIVE's review and approval, all appropriate documents, reports and timesheets, including a draft invoice, to assess the performance of the SERVICES in compliance with the provisions of the CONTRACT. In order to limit any delay, the above document should be preferably sent by email.

COMPANY's acceptance of part or the whole of such SERVICES shall be promptly notified in writing within an Electronic Job Progress Certificate (e-JPC) which will be sent to CONTRACTOR by email, fax or letter.

11.2.2 Invoices

Unless otherwise provided for in the PARTICULAR CONDITIONS, CONTRACTOR shall invoice monthly all amounts that become due by COMPANY for the SERVICES performed in the previous month. The invoices shall be supported with the Job Progress Certificate (JPC) and all appropriate documents, duly approved by COMPANY REPRESENTATIVE, justifying the performance of the SERVICES in accordance with the terms and conditions of the CONTRACT.

Unless otherwise mentioned in the PARTICULAR CONDITIONS, CONTRACTOR's invoices shall comply with the following instructions:

- (i) The accounting currency of the CONTRACT shall be the United States Dollar (USD) unless otherwise specified in the PARTICULAR CONDITIONS.
- (ii) SERVICES performed shall be invoiced in compliance with the provisions stipulated in the PARTICULAR CONDITIONS.
- (iii) When applicable, USD/Naira conversion rate shall be based on the Central Bank of Nigeria buying rate prevailing at the date of the invoice.
- (iv) Invoices shall display the amount of Value Added Tax (V.A.T.), if and when applicable.

11.2.3 Invoices together with supporting documents, shall be established in one single original clearly stamped "original" and shall be forwarded to the address stated in the PARTICULAR CONDITIONS.

Invoices shall indicate the following references provided by COMPANY:

- CALL-OFF ORDER reference number and CONTRACT reference number (in order to avoid any doubt); and/or
- PURCHASE ORDER reference number;

11.2.4 COMPANY reserves the right to reject any invoice not issued in compliance with the provisions of this Article 11.

11.3 PAYMENT

11.3.1 Payment Conditions

Payment of CONTRACTOR shall be carried out in compliance with the provisions of the PARTICULAR CONDITIONS with regards to the applicable payment currencies.

COMPANY shall pay the undisputed invoices within thirty (30) days from the end of the month of their receipt. Payments shall be made by bank transfer to the bank address and account as provided by CONTRACTOR at the time of registration in COMPANY's system. Should CONTRACTOR wish to change the account number, a formal request on CONTRACTOR's letterhead stating the new bank details should be addressed to COMPANY's Accounting Manager, with copy to COMPANY's Contracts and Procurement Methods Manager. Such a request shall be accompanied with a letter of non indebtedness from the previous bank duly signed.

CONTRACTOR's Bank shall be approved by COMPANY prior to any COMPANY payment.

The payment shall be deemed made as from the date of transfer from COMPANY's bank.

11.3.2 Payment Currency

Payment of CONTRACTOR shall be carried out in compliance with the provisions of the PARTICULAR CONDITIONS with regards to the applicable payment currencies. In the event conversion from USD to the Naira is required, it shall be made at the conversion rate mentioned in sub-article 11.2.2 (III).

11.3.3 COMPANY shall have the right to deduct from any sum due to CONTRACTOR, any amount due and payable by CONTRACTOR to COMPANY.

11.3.4 Payment of any invoice shall not prejudice the right of COMPANY to contest in writing any sum(s) improperly paid within the twelve (12) months period following the date of such payment. Any CLAIM so made and recognized as well founded, shall result in an immediate reimbursement by CONTRACTOR.

11.3.5 COMPANY reserves the right to refuse any invoice submitted by CONTRACTOR after the three (3) months period following the end of the SERVICES.

11.4 LIQUIDATED DAMAGES

11.4.1 Liquidated damages for late performance of the SERVICES

For the late performance of the SERVICES after the COMPLETION DATE by reference to the provisions of sub-Article 4.11, CONTRACTOR shall be liable to pay liquidated damages as may be specified in the PARTICULAR CONDITIONS. Such liquidated damages payments shall not be construed as a penalty and it is agreed that they constitute a fair and genuine pre-estimate of COMPANY's losses to the date of applying such liquidated damages.

Payment of these liquidated damages shall not relieve CONTRACTOR from duly performing his obligations under the CONTRACT.

11.4.2 Other obligations

Payment of such liquidated damages shall be without prejudice to any other rights and remedies of COMPANY under the CONTRACT.

ARTICLE 12 TAXES AND CUSTOM DUTIES - ACCOUNTING AND AUDIT

12.1 TAXES AND CUSTOMS DUTIES

12.1.1 CONTRACTOR assumes full and exclusive liability (which will not be passed onto COMPANY in any event) for the payment of all taxes (except Value Added Tax which will be invoiced and charged to COMPANY) in addition to the rates and fees), levies and other fiscal contributions, howsoever called, made by any authorised Federal, state or Local Government, or body including, by way of illustration and not limitation, corporate tax and income tax now or hereafter levied or imposed and related to or assessed upon the profits or assumed profits of CONTRACTOR arising directly or indirectly out of the performance of the CONTRACT.

12.1.2 CONTRACTOR agrees to COMPANY withholding from payments to CONTRACTOR, any deductions including but not limited to Withholding Tax and Nigerian Oil and Gas Industry Content Levy and Value Added Tax, being amounts to be withheld in compliance with the law, regulation, or directive legally in force at the time of deduction.

12.1.3 CONTRACTOR shall provide COMPANY with CONTRACTOR's Tax Identification Number (TIN) with the applicable Nigerian Government Tax Authority, before or along with the first invoice to COMPANY, for the purpose of remitting withholding taxes to the Government Tax Authority. CONTRACTOR shall provide COMPANY with its current Federal Inland Revenue Service (FIRS) tax clearance certificate and any other information required under Article 11.1.1 above prior to the issuance of or along with its first invoice.

12.1.4 COMPANY shall make available to CONTRACTOR any receipts and/or other documentation in the name of CONTRACTOR for any amounts so withheld as they become due, when they are received by COMPANY from the Tax Authority or the body authorized to collect such deductions made by COMPANY. It is understood that the Federal Inland Revenue Service (FIRS) does not issue receipts for VAT remitted by the COMPANY. The CONTRACTOR is to file returns and make any claims accordingly.

12.1.5 "Withholding Tax" is an amount withheld at source by COMPANY, on behalf of the Nigerian Government on invoiced amounts net of VAT, for services performed in the Federal Republic of Nigeria, and subsequently paid to the Nigerian Authorities by COMPANY.

12.1.6 The amount of Withholding Tax can be offset against the Income Tax that CONTRACTOR shall ultimately be liable to pay to the Nigerian Federal Government if CONTRACTOR is taxable in Nigeria.

12.1.7 Consequently prices are considered independent of Withholding Tax and they are not to be automatically revised if the Withholding Tax rate changes.

12.1.8 All taxes (except VAT) mentioned above are deemed already taken into account in the prices, rates or fees specified in the CONTRACT.

12.1.9 Where applicable, the invoices shall indicate CONTRACTOR's Tax Identification Number (TIN) and the Value Added Tax (VAT) registration number, and the amount to be paid as VAT. CONTRACTOR shall provide COMPANY with a valid copy of his VAT registration certificate before or along with its first invoice to COMPANY.

12.1.10 CONTRACTOR assumes full and exclusive liability for the payment of all customs duties and all other costs related to the importation of CONTRACTOR's EQUIPMENT, consumables and spare parts. Furthermore, CONTRACTOR shall be responsible for all formalities and administration procedures related to such importation and CONTRACTOR shall hold COMPANY harmless from and against all CLAIMS or demands which may arise due to CONTRACTOR's failure to comply with any requirement concerning importation. All costs relating to customs duties are deemed to be already included in the prices stipulated in the CONTRACT.

12.1.11 If COMPANY requests CONTRACTOR to import equipment or any other items for the account of COMPANY, all import documentation shall bear the name "TOTAL E&P NIGERIA LIMITED". The importer's copy of "Form C118" (yellow copy) which bears all the details of the custom duties, and which is proof that the duties have been paid shall be forwarded to COMPANY's Procurement Department immediately after the goods are cleared. Invoices for imports for the account of COMPANY shall indicate the amount paid for custom duty separately. CONTRACTOR shall follow COMPANY's instructions on the procedures to adopt for such importation.

12.1.12 COMPANY shall remit the VAT charged on CONTRACTOR's invoices directly to the Federal Inland Revenue Services.

12.2 ACCOUNTING AND AUDITS

12.2.1 CONTRACTOR shall safely keep, and cause his SUBCONTRACTORS to keep, in accordance with generally accepted accounting practice, accurate detailed records and accounts pertaining to the CONTRACT for an accurate audit and verification of any reimbursable costs, for the duration of the CONTRACT and for a period of two (2) years following the COMPLETION DATE of the SERVICES or the date of the termination of the CONTRACT.

12.2.2 COMPANY shall have the right during such period to audit (or have audited) and copy any records and accounts for verification of any sum payable under the CONTRACT.

ARTICLE 13 SUSPENSION AND TERMINATION**13.1 SUSPENSION AND TERMINATION DUE TO CONTRACTOR'S DEFAULT****13.1.1 Suspension of the performance of the SERVICES due to CONTRACTOR's default**

Should CONTRACTOR during the course of the CONTRACT perform the SERVICES in a manner not in conformity with the CONTRACT requirements which would hinder in any way the performance of the SERVICES, COMPANY shall notify CONTRACTOR of such deficiency and request CONTRACTOR to remedy the same within a period of time allocated by COMPANY.

COMPANY shall be entitled to suspend the performance of the SERVICES, or any relevant part thereof, until such time as when CONTRACTOR has remedied the deficiency or until all measures he intends to implement have been approved by COMPANY.

COMPANY has the right to call upon the Bank Guarantee, where applicable, if CONTRACTOR is unable to remedy any defects during the allocated period of time as defined above.

CONTRACTOR shall be solely responsible for all costs and expenses associated with the above corrective actions. CONTRACTOR shall promptly resume the performance of the suspended SERVICES upon receipt of notice to resume from COMPANY and to the extent required therein.

13.1.2 Termination of the CONTRACT due to CONTRACTOR's default**13.1.2.1 Termination**

COMPANY shall have the right to terminate the CONTRACT with immediate effect and without indemnity or liability of any nature to CONTRACTOR in the following cases:

- a) breach of any material provision of the CONTRACT, or
- b) in case of total or partial non-completion of the CONTRACT, and of the obligations incumbent on CONTRACTOR under the CONTRACT after notification to CONTRACTOR of the breach and requesting him to remedy the default within a reasonable time limit,
- c) in case of incapacity or prohibition or cessation of operations of CONTRACTOR for any reason whatsoever, or
- d) in case of non-compliance with the provisions of any APPLICABLE LAWS.
- e) in case of default regarding the prevention against illegal employment as stated in sub-article 4.5.2;
- f) in case of failure to comply with the H3SE obligations stated in sub-article 7.1;
- g) in case of failure to comply with the anti-corruption undertakings as stated in sub-article 17.3;

- h) In case of failure to provide, renew or extend a Performance Bank Guarantee, if applicable, in the PARTICULAR CONDITIONS.

If for reasons provided in this sub-Article 13.1.2.1 0, COMPANY wishes to terminate the CONTRACT, COMPANY shall serve written notice thereof to CONTRACTOR.

13.1.2.2 Consequences

In the event of termination as provided for in sub-Article 13.1.2.1, COMPANY shall have the following rights:

- a) COMPANY shall only be liable to pay CONTRACTOR, as full and final compensation under the CONTRACT or otherwise, the amount due for the SERVICES completed by CONTRACTOR and the results thereof delivered to COMPANY prior to the date of termination, in compliance with the CONTRACT, and
- b) COMPANY reserves the option to have the CONTRACT completed by a THIRD PARTY contractor and to invoice CONTRACTOR for any difference in price incurred by COMPANY from the total price of the CONTRACT, and COMPANY shall be entitled to reimbursement and compensation from CONTRACTOR for direct and documented costs and damages (including additional managerial expenses and administrative services) suffered by COMPANY in connection with such termination and, as the case may be, liquidated damages provided for in the CONTRACT for late performance, and
- c) any monies due to COMPANY pursuant to this sub-Article shall be paid to COMPANY within forty-five (45) days from the end of the month of the issuance by COMPANY of such invoice, failing which COMPANY shall have the right, at its sole option, to call upon the Bank Guarantee.

13.2 TERMINATION DUE TO CHANGE OF CONTROL AND MANAGEMENT OF CONTRACTOR**13.2.1 Right of termination**

Without prejudice to any other rights under the CONTRACT, COMPANY reserves the right to terminate the CONTRACT at any time by serving written notice to CONTRACTOR without justifying its decision, in the following cases:

- a) Subject to implementation of the APPLICABLE LAWS, if CONTRACTOR becomes bankrupt or has a receiving order made against him (or any controlling company of CONTRACTOR) or presents his petition in bankruptcy or makes arrangements with (or assignment in favour of) his creditors, or shall agree to carry out the CONTRACT under a committee of inspection of his creditors or (being a corporation) shall go into liquidation (other than a voluntary liquidation for the purposes of amalgamation or reconstruction) or has an execution levied on his goods/assets and/or more generally has become insolvent, or
- b) transfer of CONTRACTOR's activity to a successor, particularly by way of conveyance to a company already constituted or to be constituted, merger, transfer of business, and

the like which, in the reasonable opinion of COMPANY, adversely affects or could adversely affect its operations. It being understood that CONTRACTOR shall so inform COMPANY immediately by registered mail with receipt, or

- c) In case of a substantial modification in the structure of CONTRACTOR's share capital. It being understood that, in this case, CONTRACTOR shall immediately inform COMPANY of this fact by registered mail with receipt.

13.2.2 Consequences

In case of termination as provided for in sub-Article 13.2.1, COMPANY shall pay CONTRACTOR the amount due for the SERVICES completed by CONTRACTOR and the results thereof delivered to COMPANY prior to the date of termination, in compliance with the CONTRACT requirements. Such payment shall constitute the full and final compensation payable by COMPANY to CONTRACTOR under the CONTRACT and CONTRACTOR shall have no CLAIM against COMPANY in relation with such termination.

13.3 SUSPENSION AND TERMINATION AT COMPANY'S CONVENIENCE

13.3.1 Suspension of the performance of the SERVICES at COMPANY's convenience

At COMPANY's sole discretion, COMPANY shall have, at any time, the right to notify CONTRACTOR of the suspension of part or all of the performance of the SERVICES. CONTRACTOR shall immediately suspend the performance of the SERVICES. CONTRACTOR shall promptly resume the performance of the suspended SERVICES upon receipt of notice to resume from COMPANY and to the extent required therein. CONTRACTOR shall be entitled to receive reimbursement of any substantiated and reasonable direct costs and expenses irrevocably incurred by him as a consequence of such suspension.

13.3.2 Termination of the CONTRACT at COMPANY's convenience

Without prejudice to the other provisions of the CONTRACT, COMPANY reserves the right to terminate the CONTRACT at any time by serving written notice to CONTRACTOR without justifying its decision, but shall in such case:

- pay CONTRACTOR the amount due for the part(s) of the performance of the SERVICES completed by CONTRACTOR and the results thereof delivered to COMPANY prior to the date of termination in conformity with the CONTRACT, and
- reimburse CONTRACTOR for all costs and expenses reasonably and irrevocably incurred and paid or committed in good faith as evidenced by supporting documents in respect of the part(s) of the performance of the SERVICES not completed on the date of such termination, and
- Pay CONTRACTOR five (5) per cent of the difference between the total price of the CONTRACT and the aggregate of the amounts already paid to CONTRACTOR.

Such payment shall constitute the full and final compensation payable by COMPANY to CONTRACTOR under the CONTRACT and CONTRACTOR shall have no CLAIM against COMPANY in relation to such termination.

ARTICLE 14 FORCE MAJEURE

14.1 PRINCIPLE

In case of FORCE MAJEURE, the PARTY claiming FORCE MAJEURE shall notify the other PARTY immediately, by registered mail with receipt, as soon as the event giving rise to FORCE MAJEURE occurs, producing all documentary evidence establishing the precise event giving rise to FORCE MAJEURE.

FORCE MAJEURE shall not release the PARTY claiming FORCE MAJEURE from his/its obligations except to the extent to, and for the period during which he/it is prevented from complying with such obligations.

The claiming PARTY shall endeavour to remedy the impact of FORCE MAJEURE rapidly, and shall at the end of the period of FORCE MAJEURE continue to perform all of his/its obligations.

14.2 TERMINATION DUE TO FORCE MAJEURE

COMPANY may terminate the CONTRACT:

- a) if in the opinion of COMPANY the performance of the SERVICES and the delivery of the results thereof are made impossible on account of FORCE MAJEURE, as evidenced by the PARTY claiming such FORCE MAJEURE event, or
- b) if a situation of FORCE MAJEURE has lasted, or in COMPANY's reasonable opinion is deemed to last, more than sixty (60) consecutive days.

If the CONTRACT is so terminated, CONTRACTOR:

- shall be paid the amount due for the part(s) of the performance of the SERVICES completed by CONTRACTOR and the results thereof delivered to COMPANY prior to the date of termination in conformity with the CONTRACT, and
- shall be reimbursed for all costs and expenses reasonably and irrevocably incurred and paid or committed in good faith as evidenced by supporting documents in respect of the part(s) of the performance of the SERVICES not completed on the date of such termination, to the exception of all costs resulting from the FORCE MAJEURE such as stand-by, delays and the like, and
- shall pay to COMPANY any monies due pursuant to this sub-Article within forty-five (45) days from the end of the month of the issuance by COMPANY of such invoice.

Such payment shall constitute the full and final compensation payable by COMPANY to CONTRACTOR under the CONTRACT and CONTRACTOR shall have no CLAIM against COMPANY in relation with such termination.

ARTICLE 15 **TITLE ON THE RESULTS OF THE PERFORMANCE OF THE SERVICES**

Each Party remains sole owner of all patentable or non-patentable information and technical knowledge and data, which are necessary for the performance of the SERVICES, and are/were developed or acquired by such PARTY prior to the EFFECTIVE DATE of the CONTRACT (hereafter referred to as "Proprietary Information"); provided always that where such Proprietary Information was developed by CONTRACTOR for or on behalf of COMPANY or specifically in respect of the SERVICES, COMPANY shall have title to and/or ownership of such Proprietary Information.

Each Party therefore undertakes to use or have used the Proprietary Information belonging to the other Party exclusively for the purpose of the CONTRACT. CONTRACTOR hereby grants to COMPANY an exclusive, irrevocable, royalty-free license to enable COMPANY GROUP and/or any other THIRD PARTY authorised by COMPANY, use, copy or modify such Proprietary Information and know-how belonging to CONTRACTOR, as may be necessary, to enable COMPANY (and its AFFILIATES) to fully use the results of the SERVICES.

CONTRACTOR hereby grants to COMPANY all and any property and INTELLECTUAL PROPERTY rights attached to and/or arising from the results, including the Final Report, produced by CONTRACTOR and resulting from the performance of the SERVICES, on an exclusive basis. COMPANY shall be free to use the results as it sees fit as soon as they are elaborated and become identifiable as being related to the CONTRACT, irrespective of the phase of progress and irrespective of payment consideration. CONTRACTOR therefore undertakes not to use or exploit for his own benefit or to the benefit of CONTRACTOR GROUP or any THIRD PARTIES such results of the SERVICES or any part thereof.

This assignment of INTELLECTUAL PROPERTY rights associated to the results includes, but is not limited to the right for COMPANY and its AFFILIATES to:

- Reproduce;
- Communicate to the public;
- Modify, translate, adjust, adapt ;
- Distribute.

This assignment is made, worldwide, for any use, including commercial use, in all language and all media now know or later developed, for whatever purpose and for the entire duration of the protection granted by INTELLECTUAL PROPERTY laws.

The results of the performance of the SERVICES shall remain at all times the property of COMPANY, subject always to the right of COMPANY to refuse title as a consequence of the non-acceptance of the performance of the SERVICES and the results thereof in accordance with the provisions of sub-Article 4.10.

ARTICLE 16 **ASSIGNMENT**

- 16.1** CONTRACTOR shall not subcontract in whole or in part the performance of the SERVICES and shall not assign the CONTRACT nor transfer any part of it, nor any benefit, interest, right or obligation, nor payment due thereunder, without the prior written

consent of COMPANY. Notwithstanding any such subcontracting or assignment or transfer to which COMPANY has given its consent, CONTRACTOR shall be and remain fully responsible for the due performance of his obligations under the CONTRACT.

- 16.2** COMPANY, may, at any time, transfer and assign all or any of its rights and obligations under the CONTRACT, or any benefit or interest arising thereunder, to any of its AFFILIATES or any of the PARTICIPANTS or their AFFILIATES.

COMPANY shall be entitled to assign the CONTRACT to any THIRD PARTY with the prior written consent of CONTRACTOR, provided such consent shall not be unreasonably withheld or delayed.

CONTRACTOR shall cause the Bank Guarantee related to the assigned CONTRACT to be reissued for the benefit of the assignee in lieu of COMPANY, and such guarantee shall be exchanged against those already in force.

ARTICLE 17 **APPLICABLE LAWS - GOVERNING LAW - ANTI-CORRUPTION UNDERTAKINGS - SETTLEMENT OF DISPUTES****17.1 APPLICABLE LAWS**

CONTRACTOR ensures that CONTRACTOR GROUP, in all respects, observes, is bound and complies with the APPLICABLE LAWS as well as the laws applicable to his operations and to CONTRACTOR's PERSONNEL Unless otherwise provided for in the CONTRACT, CONTRACTOR shall be liable for and shall defend, indemnify and hold COMPANY GROUP harmless from and against all fines and penalties and all other consequences harmful to COMPANY GROUP resulting from breach of APPLICABLE LAWS by CONTRACTOR GROUP.

17.2 GOVERNING LAW

The validity, interpretation and performance of the CONTRACT are governed by the laws of the Federal Republic of Nigeria.

17.3 ANTI-CORRUPTION UNDERTAKINGS

In recognition of the principles enshrined in the various pertinent international and regional conventions on combating corruption and to ensure compliance with the anti-corruption laws applicable to the activities under the CONTRACT and any other anti-corruption laws otherwise applicable to the PARTIES or their ultimate parent company,

- 17.3.1** CONTRACTOR, in respect of the CONTRACT and the matters that are the subject of the CONTRACT, warrants that neither it nor to its knowledge anyone on its behalf, has made or offered nor will make or offer any payment, gift, or promise or give any advantage, whether directly or through a CLOSE FAMILY MEMBER or other intermediary, to or for the use of any PUBLIC OFFICIAL, where such payment, gift, promise or advantage would be for purposes of:

- a) influencing any act or decision of such PUBLIC OFFICIAL;
- b) inducing such PUBLIC OFFICIAL to do or omit to do any act in violation of his or her lawful duties;
- c) securing any improper advantage; or
- d) inducing such PUBLIC OFFICIAL to use his or her influence to affect any act or decision of any department, agency or instrumentality of any government or public enterprise.

17.3.2 CONTRACTOR, in respect of the CONTRACT and the matters that are the subject of the CONTRACT, warrants that it has not made or offered and will not make or offer any payment, gift, or promise or give any advantage, whether directly or through intermediaries, to or for the use of any PERSON (other than a PUBLIC OFFICIAL) insofar as such payment, gift, promise or advantage would be for purposes of inducing such PERSON to do or omit to do any act in violation of his or her lawful duty or to secure any improper advantage, or otherwise to do or refrain from doing something that would violate the laws applicable to the activities under the CONTRACT.

17.3.3 CONTRACTOR shall cause his personnel and SUBCONTRACTORS to comply with the obligations set forth in this Article 17.3 and to warrant the same under the terms of their agreements with any subcontractors. In particular, CONTRACTOR shall perform Anti-corruption Compliance Due Diligences on all major SUBCONTRACTORS and COMPANY reserves the right i) to request proof of and/or documentation relating to such Due Diligences and, where necessary ii) to reject or request replacement of non-complying SUBCONTRACTORS in accordance with Article 4.3 of the CONTRACT.

17.3.4 All financial settlements, billings and reports rendered to COMPANY shall accurately and in reasonable detail reflect all activities and transactions undertaken in the performance of the CONTRACT. CONTRACTOR also shall maintain adequate internal controls to ensure that all payments made in performance of the CONTRACT are authorized and in compliance with the CONTRACT. COMPANY reserves the right to perform itself or through a duly authorized representative, pursuant to ARTICLE 12, audits at CONTRACTOR's premises of all payments made by or on behalf of CONTRACTOR for SERVICES performed under the CONTRACT. CONTRACTOR agrees to cooperate fully in any such audit, including by making the relevant books and records available to COMPANY or its duly authorized representative and by answering any relevant questions that COMPANY may have relating to CONTRACTOR's performance under this CONTRACT.

17.3.5 All payments by COMPANY to CONTRACTOR shall be made in accordance with the terms of payment specified in ARTICLE 11 of the CONTRACT. The payment indications that pursuant to such ARTICLE 11 will be notified in CONTRACTOR's invoices shall be deemed to constitute a representation and warranty by CONTRACTOR that the bank account so notified is owned solely by CONTRACTOR and that no PERSON other than CONTRACTOR has any ownership of or interest in such account.

17.3.6 CONTRACTOR represents and warrants that no PUBLIC OFFICIAL or CLOSE FAMILY MEMBER owns or possesses, directly or indirectly, shares or any other beneficial interest in CONTRACTOR (other than through ownership of publicly traded securities that is not sufficient to constitute a controlling interest), or is a director, officer or agent of CONTRACTOR, except for any ownership, interest or position that CONTRACTOR has disclosed to COMPANY in writing. The foregoing representation and warranty will continue so long as this CONTRACT remains in effect. CONTRACTOR agrees to notify COMPANY promptly and in writing of any developments that would or might affect the accuracy of the foregoing representation or warranty. In any case, if a PUBLIC OFFICIAL or CLOSE FAMILY MEMBER owns or acquires, directly or indirectly, shares or any other beneficial interest in CONTRACTOR, or is or becomes a director, officer or agent of CONTRACTOR, CONTRACTOR shall take appropriate steps to ensure that such PUBLIC OFFICIAL or CLOSE FAMILY MEMBER avoids any conflict of interest and complies with the laws applicable to him/her which prohibit conflicts of interests on the part of PUBLIC OFFICIALS and complies with the anti-corruption provisions described in the sub-articles 17.3.1 and 17.3.2 above.

17.3.6.1 In the event CONTRACTOR or SUBCONTRACTOR is owned in part by Nigerian National Petroleum Company or may, whether now or in the future, be considered as a governmental entity or quasi-governmental entity at law, it is possible that a PUBLIC OFFICIAL, may serve as a director, officer or employee of such CONTRACTOR or SUBCONTRACTOR or his/its AFFILIATES. In such event, the PARTIES agree that, CONTRACTOR or such SUBCONTRACTOR may have one or more directors, officers or employees who qualify as PUBLIC OFFICIALS, provided that:

- a) the PUBLIC OFFICIAL is occupying such position within CONTRACTOR or SUBCONTRACTOR fully in accordance with laws that are applicable to such party and as may be required there-under;
- b) the PUBLIC OFFICIAL's appointment as a director, officer or employee of CONTRACTOR or SUBCONTRACTOR is reviewed and approved by [name of the State owned company];
- c) any payment to or on behalf of the PUBLIC OFFICIAL is reviewed and approved by [name of the State owned company] and does not exceed the remuneration that would be reasonable for a person serving in that particular position within CONTRACTOR or SUBCONTRACTOR; and
- d) such remuneration is fully consistent with APPLICABLE LAWS and the matters that are the subject of the CONTRACT and is not made to influence any official act, decision or omission of such PUBLIC OFFICIAL or reward the PUBLIC OFFICIAL in respect of any of the same that may have been taken in the past.

17.3.7 CONTRACTOR shall promptly give NOTICE to COMPANY of any investigation or legal proceeding initiated against CONTRACTOR by any public authority relating to an alleged violation of applicable anti-corruption laws by CONTRACTOR, SUBCONTRACTORS or his/their personnel /

CONTRACTOR's PERSONNEL in relation to operations and activities performed under the CONTRACT.

17.3.8 Without prejudice to any other rights or remedies COMPANY otherwise may have hereunder or at law, including but not limited to damages for breach of the CONTRACT, if any of the undertakings or requirements of this Article 13.3 have not been complied with or fulfilled by CONTRACTOR in any material respect, COMPANY shall have the right:

- a) to suspend payment and/or require reimbursement of any advance payment made under the CONTRACT, and/or
- b) to suspend and/or terminate the CONTRACT for CONTRACTOR's default with immediate effect pursuant to sub-Article 13.1.

17.4 SETTLEMENT OF DISPUTES

The PARTIES shall endeavour to settle by negotiation any dispute arising out of or in connection with the CONTRACT, and all the consequences thereof. Such dispute shall be duly notified by the claiming PARTY to the other PARTY, in the forms required under the CONTRACT and with due reference to this Article 16, and the PARTIES shall endeavour to settle such dispute by negotiation within forty-five (45) days from receipt of said notice.

In case of failure to settle the dispute by negotiation within the period of time above-mentioned, the claiming PARTY may notify to the other PARTY its intention to submit the dispute to arbitration. Unless otherwise specified in the PARTICULAR CONDITIONS, the dispute shall then be finally settled by one (1) arbitrator appointed by mutual agreement of the PARTIES in accordance with the relevant provisions of Arbitration and Conciliation Act, Cap A 18 Laws of the Federation of Nigeria 2004.

The arbitration shall be held in Nigeria and shall be conducted in the English language. The arbitrator shall decide according to law and not ex aequo et bono.

Each PARTY may at any time request from any competent judicial authority any interim or conservatory measure. The PARTIES undertake to keep strictly confidential the contents of the arbitration proceedings.

ARTICLE 18 CONFIDENTIALITY

18.1 All information supplied by COMPANY to CONTRACTOR in connection with the CONTRACT, as well as all results (including the Final Report) shall be kept confidential (unless and until released by COMPANY) and CONTRACTOR shall take and enforce suitable written covenants from CONTRACTOR's PERSONNEL and SUBCONTRACTORS at any level to enforce confidentiality. The non-disclosure obligation under this sub-Article 18.1 shall not apply to information and data which, as evidenced by CONTRACTOR:

- is already in the public domain at the time of disclosure; or
- is required to be disclosed under the APPLICABLE LAWS or by a governmental order, decree, regulation or rule (provided

CONTRACTOR shall give notice to COMPANY prior to such disclosure).

18.2 CONTRACTOR undertakes to limit access to such information and data to those of CONTRACTOR's PERSONNEL reasonably requiring the same for the performance of the CONTRACT and that CONTRACTOR shall not use any of such information and data in anyway other than for the aforesaid purpose.

CONTRACTOR agrees neither to refer to nor to use COMPANY's business name or trademarks for any reason whatsoever, without the prior, explicit and written authorisation of COMPANY.

18.3 Any failure to comply with the provisions of this Article 18 shall be considered as breach of material obligations by CONTRACTOR to COMPANY, and may cause immediate damages to COMPANY, in connection with which COMPANY shall be entitled to take any necessary legal steps. CONTRACTOR shall defend, indemnify and hold harmless COMPANY GROUP from and against any and all CLAIMS suffered or incurred in respect of the above confidentiality obligations.

ARTICLE 19 MISCELLANEOUS

19.1 PROVISIONS SURVIVING THE CONTRACT

The termination of the CONTRACT and/or the completion of the performance of the SERVICES and the delivery of the results thereof shall not release the PARTIES from the following obligations which expressly or by their nature survive the CONTRACT or extend beyond the CONTRACT termination and any completion of the performance of the SERVICES and any delivery of the results thereof: the provisions of sub-Article 4.9 (in respect of warranty obligations), ARTICLE 9 (LIABILITIES), ARTICLE 10 (INSURANCES), ARTICLE 17 (APPLICABLE LAWS - GOVERNING LAW - ANTI-CORRUPTION - SETTLEMENT OF DISPUTES) and ARTICLE 18 (CONFIDENTIALITY).

19.2 NOTICES

Any notice given under or in connection with the CONTRACT shall only be given in writing to the address of the PARTIES indicated in the PARTICULAR CONDITIONS by one of the methods specified below and shall be effective:

- if personally delivered by hand, at the time of delivery at the relevant address;
- if sent by recorded delivery or registered post, when received at the recipient's address;
- if sent by facsimile or e-mail, on receipt provided a confirmation letter is delivered or transmitted as per (a) and (b) above.

Notwithstanding the above, routine communication transmitted by facsimile or e-mail will not require a confirmation copy sent by mail.

Each PARTY shall promptly notify the other PARTY of any change in the address.

19.3 NO WAIVER

The failure to exercise or delay in exercising a right or remedy under the CONTRACT shall not constitute a waiver of the right or remedy, or a waiver of any other rights or remedies, unless such waiver is set out in writing and executed by such PARTY's authorised representative and duly notified to the other PARTY. Any such waiver shall always be construed under a restrictive interpretation and shall not extend, whether in time or in its object, beyond the terms expressly stipulated in such notice.

19.4 SEVERABILITY

If and for so long as any provision of the CONTRACT shall be deemed to be judged invalid for any reason whatsoever, such invalidity shall not affect the validity or operation of any other provision of the CONTRACT except only so far as shall be necessary to give effect to the construction of such invalidity and any such invalid provision shall be deemed severed from the CONTRACT without affecting in any way the validity or the balance of the CONTRACT.

19.5 ORDER OF PRIORITY

In case of a conflict between (1) the PARTICULAR CONDITIONS and (2) the present General Conditions and the documents attached thereto, the contractual documents shall prevail in the order indicated above.

19.6 ENTIRE AGREEMENT

The CONTRACT constitutes the entire agreement between the PARTIES, and supersedes all prior oral and written negotiations, understandings, representations and/or agreements with respect to the performance of the CONTRACT made between the PARTIES prior to the EFFECTIVE DATE.

The rights and obligations of the PARTIES shall not be limited to those set out in the CONTRACT when the governing law of the CONTRACT provides or enforces other rights and obligations, provided however that the CONTRACT shall always take precedence over any APPLICABLE LAWS with which it conflicts or which are expressly excluded by the CONTRACT as far as legally permissible.

19.7 LIENS

CONTRACTOR undertakes not to create or do any act, deed or thing which would result in the creation of any lien or charge on CONTRACTOR'S GROUP or COMPANY GROUP's property and equipment and/or the results of the performance of the SERVICES and/or CONTRACTOR EQUIPMENT or any part thereof.

CONTRACTOR shall defend, indemnify and hold COMPANY GROUP harmless from and against any CLAIM for the discharge of any lien claimed against COMPANY GROUP's property and equipment and/or the results of the performance of the SERVICES and/or CONTRACTOR EQUIPMENT or any part thereof, if directly created or caused by (act, omission or negligence of) CONTRACTOR GROUP.

19.8 MODIFICATIONS

No modification may be made to the CONTRACT, without the written approval of the authorised representatives of CONTRACTOR and of COMPANY.

For the acceptance of CONTRACTOR:

Name:

Title:

Date:

Signature

ANNEX 1 FORMS OF DEED OF MUTUAL INDEMNITY AND WAIVER OF RECOURSE

ANNEX 1/A
DEED OF MUTUAL INDEMNITY AND WAIVER OF RECOURSE
(FORM FOR CONTRACTOR)

Whereas **TOTAL E&P NIGERIA LIMITED** (hereinafter referred to as **COMPANY**) has entered into a contract or agreement dated. / / with (hereinafter referred to as the **Undersigned Party**) regarding the performance of services for COMPANY's operations in connection with, related to, or in support of the SERVICES/Project (hereinafter referred to as OPERATIONS);

Whereas COMPANY and the Undersigned Party may have entered into, or shall enter into, contracts or agreements with other contractors for the performance of services in connection with, related to, or in support of the OPERATIONS and certain of said other contractors have signed, or may sign, counterparts of like mutual Deeds (all the signatories of such Deeds relating to the OPERATIONS being hereafter designated as SIGNATORIES or SIGNATORY as the case may be);

Whereas the SIGNATORIES wish to organise their relationship in order to avoid entirely disputes as to their liabilities for damage to, personal or bodily injuries to, disease or death of their respective property or personnel (directors, officers, employees and agents), incurred in connection with the OPERATIONS;

Now, therefore, the Undersigned Party agrees with the other SIGNATORIES that:

1. The Undersigned Party waives all rights of recourse against and shall defend, indemnify and hold harmless the other SIGNATORIES and their insurers for their liability (including legal expenses) arising out of damage to or loss of property it owns, or has in its possession by virtue of an arrangement made with an entity which is not a SIGNATORY, and for any consequential loss resulting from such damage or loss.
2. The Undersigned Party shall have no liability whatsoever for damage to or loss of property in its possession by virtue of an arrangement made with another SIGNATORY.
3. The Undersigned Party waives all rights of recourse against and shall defend, indemnify and hold harmless the other SIGNATORIES and their insurers from and against any loss or liability (including legal expenses) arising out of any claim, demand, cause of action, proceedings, judgment, award (including reasonable legal fees, costs and expenses and reasonable sums paid by way of settlement or compromise), liability, loss, expense, penalty, fine and damages and the like for loss of or damage to property of its personnel, personal or bodily injuries to or disease or death of its personnel.
4. The Undersigned Party undertakes to obtain from its insurers a waiver of rights of subrogation against all other SIGNATORIES and their insurers in accordance with the provisions of this Deed governing the mutual liability of the SIGNATORIES with regard to the OPERATIONS.
5. Notwithstanding paragraphs 1, 2 and 3, in the event any property of the Undersigned Party or of its personnel is lost or damaged in the course of transportation by aircraft or in the event of personal or bodily injury to or disease or death of its personnel on board the aircraft or in the course of any of the operations of embarking or disembarking and a SIGNATORY is the carrier, the Undersigned Party shall be entitled to compensation from such SIGNATORY in accordance with applicable national law or international conventions.
6. The Undersigned Party shall have those of its subcontractors who are involved in the OPERATIONS to become SIGNATORIES and shall forthwith furnish COMPANY with the original counterparts of this Deed executed by its subcontractors. The Undersigned Party shall indemnify and hold harmless the other SIGNATORIES (other than his own subcontractors) from and against any liability (including legal expenses) related to his failure to obtain from all of his subcontractors that they become SIGNATORIES.
7. This Deed shall ensure to the benefit of and become binding upon the Undersigned Party as to any other SIGNATORIES upon the later of the date of execution by the Undersigned Party and the date of execution of a counterpart hereof or similar Deed by such other SIGNATORY.

Conversely this Deed shall be binding upon the Undersigned Party only with respect to contractors and subcontractors who have become SIGNATORIES prior to the occurrence giving rise to any claim, demand, cause of action, proceedings, judgment, award (including reasonable legal fees, costs and expenses and reasonable sums paid by way of settlement or compromise) liability, loss, expense, penalty, fine and damages and the like.

8. Any contractor, consultant or subcontractor, etc., performing services for COMPANY or another SIGNATORY in connection with the OPERATIONS who has not entered into a formal contract for the performance of such services may nevertheless become a SIGNATORY by signing a counterpart hereof which shall, as to the subject hereof, govern the relationship between such new SIGNATORY and the other SIGNATORIES and also by extension its relations with COMPANY.
9. This Deed may be executed in any number of counterparts as necessary but all such counterparts shall together constitute one legal instrument.
10. The performance and the interpretation of this Deed shall be governed by the Laws of Nigeria and the Undersigned Party submits to the exclusive jurisdiction of the Nigerian Courts.

11. The indemnities given under this Deed shall apply irrespective of cause and notwithstanding the negligence, breach of duty (statutory or otherwise) or other failure of any other SIGNATORY and shall apply irrespective of any claim, demand, cause of action, proceedings, judgment, award (including reasonable legal fees, costs and expenses and reasonable sums paid by way of settlement or compromise) liability, loss, expense, penalty, fine and damages and the like in tort, contract or otherwise at law and shall be full and primary and shall be fully enforceable irrespective of any separate right of indemnity or contribution from an individual, company, firm, partnership, association or body corporate.

In this Deed: "CONSEQUENTIAL LOSS" means indirect or consequential loss, and direct or indirect loss of: revenue, profit, anticipated profit, use, production, productivity, contracts, business opportunity and losses, costs and/or expenses resulting from business interruption, deferral of production.

Entered into thisday of 2....

Signed and delivered as a deed by **Undersigned Party (CONTRACTOR)**

Signature of Director:

Signature of another Director or Company Secretary:

Name of Director:

Name of another Director or Company Secretary:

Date:

Date:

ANNEX 1/B**DEED OF MUTUAL INDEMNITY AND WAIVER OF RECOURSE****(FORM FOR CONTRACTOR'S SUBCONTRACTORS)**

Whereas (hereinafter referred to as **CONTRACTOR**) has entered into a contract or agreement dated/...../..... with **TOTAL E&P NIGERIA LIMITED** (hereinafter referred to as **COMPANY**) regarding the performance of services for COMPANY's operations in connection with, related to, or in support of the..... SERVICES/Project (hereinafter referred to as OPERATIONS);

Whereas **CONTRACTOR** has subcontracted wholly or partly the performance of such services to..... (Hereinafter referred to as the **Undersigned Party**);

Whereas **COMPANY**, **CONTRACTOR** and the Undersigned Party may have entered into contracts or agreements with other contractors for the performance of services in connection with, related to, or in support of the OPERATIONS and certain of said other contractors have signed, or may sign, counterparts of like mutual Deeds (all the signatories of such Deeds relating to the OPERATIONS being hereafter designated as SIGNATORIES or SIGNATORY as the case may be);

Whereas the SIGNATORIES wish to organise their relationship in order to avoid entirely disputes as to their liabilities for damage to, personal or bodily injuries to, disease or death of their respective property or personnel (directors, officers, employees and agents) incurred in connection with the OPERATIONS;

Now, therefore, the Undersigned Party agrees with them that:

1. The Undersigned Party waive all rights of recourse against and shall defend, indemnify and hold harmless the other SIGNATORIES and their insurers for their liability (including legal expenses) arising out of damage to or loss of property it owns, or has in its possession by virtue of an arrangement made with an entity which is not a SIGNATORY, and for any CONSEQUENTIAL LOSS resulting from such damage or loss.
2. The Undersigned Party shall have no liability whatsoever for damage to or loss of property in its possession by virtue of an arrangement made with another SIGNATORY.
3. The Undersigned Party waives all rights of recourse against and shall defend indemnify and hold harmless the other SIGNATORIES and their insurers from and against any loss or liability (including legal expenses) arising out of any claim, demand, cause of action, proceeding, judgment, award (including reasonable legal fees, costs and expenses and reasonable sums paid by way of settlement or compromise) liability, loss, expense, penalty, fine and damages and the like for loss of or damage to property of its personnel, personal or bodily injuries to or disease or death of its personnel.
4. The Undersigned Party undertakes to obtain from its insurers a waiver of rights of subrogation against all other SIGNATORIES and their insurers in accordance with the provisions of this Deed governing the mutual liability of the SIGNATORIES with regard to the OPERATIONS.
5. Notwithstanding paragraphs 1, 2 and 3, in the event any property of the Undersigned Party or of its personnel is lost or damaged in the course of transportation by aircraft or in the event of personal or bodily injury to or disease or death of its personnel on board the aircraft or in the course of any of the operations of embarking or disembarking and a SIGNATORY is the carrier, the Undersigned Party shall be entitled to compensation from such SIGNATORY in accordance with applicable national law or international conventions.
6. The Undersigned Party shall have those of its subcontractors who are involved in the OPERATIONS to become SIGNATORIES and shall forthwith furnish COMPANY with the original counterparts of this Deed executed by its subcontractors. The Undersigned Party shall indemnify and hold harmless the other SIGNATORIES (other than his own subcontractors) from and against any liability (including legal expenses) related to his failure to obtain from all of his subcontractors that they become SIGNATORIES.
7. This Deed shall ensure to the benefit of and become binding upon the Undersigned Party as to any other SIGNATORIES upon the later of the date of execution by the Undersigned Party and the date of execution of a counterpart hereof or a similar Deed by such other SIGNATORY. Conversely this Deed shall be binding upon the Undersigned Party only with respect to contractors and subcontractors who have become SIGNATORIES prior to the occurrence giving rise to any claim, demand, cause of action, proceedings, judgment, award (including reasonable legal fees, costs and expenses and reasonable sums paid by way of settlement or compromise) liability, loss, expense, penalty, fine and damages and the like.
8. Any contractor, consultant or subcontractor, etc., performing services for COMPANY or another SIGNATORY in connection with the OPERATIONS who has not entered into a formal contract for the performance of such services may nevertheless become a SIGNATORY by signing a counterpart hereof which shall, as to the subject hereof, govern the relationship between such new SIGNATORY and the other SIGNATORIES and also by extension its relations with COMPANY.
9. This Deed may be executed in any number of counterparts as necessary but all such counterparts shall together constitute one legal instrument.

10. The performance and the interpretation of this Deed shall be governed by the Laws of Nigeria and the Undersigned Party submits to the exclusive jurisdiction of the Nigerian Courts.
11. The indemnities given under this Deed shall apply irrespective of cause and notwithstanding the negligence, breach of duty (statutory or otherwise) or other failure of any other SIGNATORY and shall apply irrespective of any claim, demand, cause of action, proceedings, judgment, award (including reasonable legal fees, costs and expenses and reasonable sums paid by way of settlement or compromise) liability, loss, expense, penalty, fine and damages and the like in tort, contract or otherwise at law and shall be full and primary and shall be fully enforceable irrespective of any separate right of indemnity or contribution from an individual, company, firm, partnership, association or body corporate.
12. In this Deed: "CONSEQUENTIAL LOSS" means indirect or consequential loss, and direct or indirect loss of: revenue, profit, anticipated profit, use, production, productivity, contracts, business opportunity and losses, costs and/or expenses resulting from business interruption, deferral of production.

Entered into thisday of 2....

Signed and delivered as a deed by (1) **CONTRACTOR**

Signature of Director:

Signature of another Director or Company Secretary:

Name of Director:

Name of another Director or Company Secretary:

Date:

Date:

and (2) **Undersigned Party (SUBCONTRACTOR)**

Signature of Director:

Signature of another Director or Company Secretary:

Name of Director:

Name of another Director or Company Secretary:

Date:

Date:

**ANNEX 2 - HEALTH, SAFETY, SOCIAL (LOCAL COMMUNITY), SECURITY AND ENVIRONMENT ("H3SE")
REQUIREMENTS****CLAUSE 1 SCOPE**

In furtherance of Article 7 of the General Conditions for Petroleum Services, this Annex describes the detailed H3SE requirements to be applied by CONTRACTOR during all the phases of the SERVICES.

CONTRACTOR shall:

- Meet COMPANY H3SE specifications and other safety-related requirements.
- Respect H3SE requirements relating to SERVICES resulting from the APPLICABLE LAWS (including those relating to permits, certifications and authorisations), the H3SE written international standards used as reference for the performance of WORK/SERVICES
- Perform the SERVICES in accordance with well-accepted safe working practice in the oil and gas industry and established available industry practices for environmental performance.
- Meet H3SE requirements set out in the CONTRACT (as further detailed in this Annex).
- CONTRACTOR must create action plan, follow up and report progress to COMPANY on actions raised during H3SE audits. For high priority actions raised from H3SE audits that indicates an additional risk on the activities being performed by CONTRACTOR, an agreed plan and deadline must be documented and approved by COMPANY

CLAUSE 2 H3SE BRIDGING DOCUMENTS

If required by COMPANY, before starting the SERVICES, COMPANY and CONTRACTOR H3SE Representatives shall meet to review the H3SE requirements of the CONTRACT and CONTRACTOR H3SE plan and make their best endeavors to set up a H3SE bridging document when appropriate.

CLAUSE 3 RESPONSIBILITIES OF MANAGEMENT**3.1 H3SE POLICY STATEMENT**

CONTRACTOR shall have a clearly defined H3SE Policy stating his commitment to H3SE.

3.2 CONTRACTOR MANAGEMENT RESPONSIBILITY

CONTRACTOR management shall provide evidence of a visible commitment to H3SE matters and promote the realisation of the H3SE objectives.

3.3 COMMUNICATION

CONTRACTOR shall demonstrate that his communication system enables CONTRACTOR's PERSONNEL and SUBCONTRACTOR's PERSONNEL to have the relevant information about generic H3SE risks and control measures available at any time.

CONTRACTOR shall have a system to overcome language barrier, inability to read and write, change of personnel and size and number of CONTRACTOR'S locations, to ensure that the relevant H3SE information is communicated among all CONTRACTOR's PERSONNEL involved in the performance of the SERVICES.

CONTRACTOR shall maintain procedures to ensure that CONTRACTOR's PERSONNEL can suggest improvements of H3SE to management.

CONTRACTOR shall ensure that his communication system is compatible with COMPANY communication system in place at COMPANY's locations.

3.4 H3SE RELATED MEETINGS

CONTRACTOR's PERSONNEL shall attend all H3SE meetings organized by COMPANY in general and pre job meetings for Critical tasks in particular. CONTRACTOR Site Representative shall attend the Daily Work Permit (safety cards) meeting, when requested by COMPANY.

CLAUSE 4 OPERATIONAL RESPONSIBILITY**4.1 CONTRACTOR's PERSONNEL**

CONTRACTOR shall continually reinforce during the performance of SERVICES CONTRACTOR's PERSONNEL awareness of generic risks and knowledge of associated control and recovery measures.

COMPANY REPRESENTATIVE has authority to communicate any specific H3SE topics considered as necessary to CONTRACTOR, and CONTRACTOR shall ensure that these relevant specific H3SE topics are transmitted to CONTRACTOR's PERSONNEL including SUBCONTRACTOR's personnel.

4.2 WORK PERMIT SYSTEM

When carrying out SERVICES on COMPANY's locations CONTRACTOR shall ensure that CONTRACTOR GROUP follows COMPANY Permit to Work System (PTW) in force therein including associated complementary permits and certificates.

At any time and in any conditions, COMPANY has the authority to require a Work Permit to cover any kind of works.

COMPANY Work Permit procedure provides the relevant standard forms to be used by CONTRACTOR.

4.3 CONTRACTOR'S EQUIPMENT

CONTRACTOR shall ensure that all CONTRACTOR's equipment used for the performance of the SERVICES meets the H3SE standards required by COMPANY and are in good condition.

CONTRACTOR shall ensure that any equipment being mobilized to COMPANY location must go through the applicable pre-mob inspection COMPANY procedure

CONTRACTOR shall ensure that any equipment used for the performance of the SERVICES that is not meeting the required standards is removed from COMPANY's locations.

In addition to the requirements for certification, any CONTRACTOR's equipment used for the performance of the SERVICES might be subject to inspection by COMPANY.

4.4 HANDOVER DURING CREW-CHANGE

CONTRACTOR shall comply with COMPANY's procedures for ensuring that any H3SE information related to the performance of SERVICES will be communicated at the crew change or any other change of CONTRACTOR's PERSONNEL. CONTRACTOR shall maintain a log book or a note system filled by the incumbent of the changing positions and periodically monitored and signed by CONTRACTOR H3SE officer on the WORKSITE. COMPANY has the right to review the content of the crew handover documentation on a routine basis and upon occurrence of any incidents on the WORKSITE.

CLAUSE 5 RISK EVALUATION AND MANAGEMENT

Without prejudice to specific prevention and mitigation measures describes in other Sections of this Annex, CONTRACTOR's H3SE PLAN shall include:

5.1 VEHICLE DRIVING AND TRANSPORTATION

CONTRACTOR shall establish a driving or transportation policy including land or marine transport when requested as result of risk evaluation (refer also to paragraph 8). Means, drivers or operators, journey management, operational conditions shall be considered during risk review. CONTRACTOR shall comply with COMPANY's driving policy.

5.2 ACCESS TO COMPANY'S LOCATIONS

No one is allowed to enter COMPANY's locations or any COMPANY installation without previous agreement. COMPANY reserves the right to inspect upon arrival on COMPANY's locations any equipment entering COMPANY's locations. If it is found unsuitable or hazardous, CONTRACTOR or SUBCONTRACTORS must remove it from COMPANY's locations at their own expense. All entering personnel must report immediately upon arrival to security office which will provide them with a site identity badge and will instruct them in the emergency alarms and any specific rules e.g. no smoking areas, muster point location, etc. All operating sites have some areas of which access is restricted or prohibited. Usually warning notices are given in site instructions; signs/ boards are posted close to the restricted facilities such as e.g. electrical room, no smoking areas, noisy areas, etc. Personnel must obey such signs. All equipment and materials coming on board deemed unsuitable or hazardous shall be removed immediately at CONTRACTOR's own expense.

CLAUSE 6 RESPECT FOR THE ENVIRONMENT

CONTRACTOR'S PERSONNEL shall be informed about applicable environmental laws, regulations and standards and apply them. CONTRACTOR shall avoid using equipments that could damage the environment. CONTRACTOR shall not import and/or use any non compliant equipment in COMPANY premises.

CLAUSE 7 RESPECT OF THE LOCAL COMMUNITY

CONTRACTOR shall pay due regard to the LOCAL COMMUNITY and shall act responsibly in order to protect the LOCAL COMMUNITY from adverse effects resulting from activities performed under this CONTRACT and to minimize any adverse impact which may arise from such activities.

7.1 LOCAL EMPLOYMENT, TRAINING AND RECRUITMENT PLAN

As part of CONTRACTOR SMP (CONTRACTOR SOCIAL MANAGEMENT PLAN ("SMP") means the plan setting out details of the procedures and measures designed to manage the impacts of the performance of the SERVICES on the LOCAL COMMUNITIES, including the appropriate mitigation measures and monitoring), CONTRACTOR shall develop a recruitment, employment and training plan. LOCAL COMMUNITY(IES) means those groups of people who live or work sufficiently nearby the WORKSITE that might be impacted by the SERVICES.

Such plan shall be designed in a manner ensuring that the hiring of local workforce will comply with APPLICABLE LAWS and will not infringe the fundamental rights at work, as defined and protected by the United Nations Universal Declaration of Human Rights and the International Labour Organisation core principles.

Such plan shall contain, among other aspects, procedures and measures to:

- a) Develop the employment of local workers, in particular those pertaining to the LOCAL COMMUNITY in accordance with the appropriate employment policy approved by the public authorities;
- b) Prevent the risks of forced labour situations, establish minimum age of recruitment and avoid discrimination (including with respect to migrant workers);
- c) Prevent corruption associated with the recruitment process;
- d) Ensure that labour contract will conform to the following minimum requirements: binding written contract, in a language that the worker may understand; contract signed by each worker, a copy of which shall be provided to him; clear definition of the labour conditions associated with the position (duration, job definition, wages, working hours, social protection and benefits...); any other requirements imposed by the APPLICABLE LAWS;
- e) Develop training actions to enhance skills of local workers, particularly regarding H3SE matters.
- f) Respect for the freedom of association and recognition of the right to collective bargain

7.2 WORKERS' DEMOBILIZATION PLAN

If demobilization of local personnel is anticipated to occur at the end of SERVICES, CONTRACTOR shall, as soon as practical after the COMMENCEMENT DATE, prepare and submit to COMPANY for review, a workers' demobilization plan.

CLAUSE 8 SAFEGUARDING OF HEALTH

8.1 MEDICAL ISSUES**8.1.1 Medical fitness**

CONTRACTOR shall ensure that CONTRACTOR's PERSONNEL and his SUBCONTRACTOR's PERSONNEL take pre-employment and regular (once a year as minimum) approved medical check-up suitable to their work conditions.

Prior to mobilization of any CONTRACTOR's PERSONNEL performing any SERVICES CONTRACTOR shall ensure that each member of CONTRACTOR GROUP:

- declare its system for assessing the medical fitness and maintaining the fitness certificates,
- submit medical certificates or a certified list of certificates during H3SE audit.

CONTRACTOR shall ensure that CONTRACTOR GROUP medical fitness system complies with "Fitness to Work Guidance for Company and Contractor Health, H3SE and HR professionals" (OGP / IPIECA Guideline 2011), which COMPANY requires to be the minimum standard for CONTRACTOR GROUP medical obligations herein.

For work on offshore locations, the additional reference system is the one defined in the UKOOA (United Kingdom Offshore Operators Association) "Medical Aspects of Fitness for offshore Work: A Guide for Examining Physicians" Issue No 6, 2008.

8.1.2 Medical support

CONTRACTOR shall ensure availability of medical care and evacuation means for CONTRACTOR's PERSONNEL and his SUBCONTRACTOR's PERSONNEL.

8.2 OCCUPATIONAL RISKS**8.2.1 Hazardous substances**

CONTRACTOR shall ensure that the MSDS and any other hazard information corresponding to any hazardous substances used in the performance of the SERVICES shall be permanently available at the WORKSITE.

CONTRACTOR shall make available Material Safety Data Sheet (MSDS) in English and country languages to all PERSONNEL on any location.

CONTRACTOR shall ensure that any substances, chemicals, products and materials used in the performance of the SERVICES considered as hazardous by local or international regulations or standards are:

- clearly identified and labelled in accordance with international regulation or standards,
- quantified for the duration of SERVICES,
- handled and stored on the WORKSITE by well trained personnel,
- disposed off adequately when expired or become unused scrap.
- Use of the following materials is prohibited within COMPANY's locations:
 - Asbestos
 - Ozone depleting substances (Halon, Freon, etc.).
- All chemicals used for SERVICES shall be stored in accordance with MSDS and VENDORS/ suppliers instructions in a secured and well-ventilated shelter. CONTRACTOR shall clearly label this shelter to the respective contents and provide relevant fire suppression systems.
- CONTRACTOR shall perform regular safety training to CONTRACTOR's PERSONNEL for the safe use and handling of all hazardous substances.,
- In addition, CONTRACTOR shall provide individual hazard awareness cards for each hazardous substance that CONTRACTOR's PERSONNEL and SUBCONTRACTOR's PERSONNEL may encounter during SERVICES performance for each relevant individual.
- Protective equipment as outlined in the MSDS or as otherwise required by operating location management must be provided and worn by potentially exposed PERSONNEL at the WORKSITE.
- The use of gasoline for anything other than the intended purpose is not permitted at the WORKSITE.

8.2.2 PERSONAL PROTECTIVE EQUIPMENT (PPE)

CONTRACTOR shall provide PPE to CONTRACTOR's PERSONNEL in accordance with recognised international standard and GOOD OIL AND GAS FIELD PRACTICE.

CONTRACTOR shall ensure that CONTRACTOR's PERSONNEL and SUBCONTRACTOR's PERSONNEL always wear PPE required to protect against particular job hazard in addition to or in place of basic PPE required for all PERSONNEL. CONTRACTOR shall make sure that all appropriate PPE is provided to non-CONTRACTOR's PERSONNEL entitled to have access to CONTRACTOR's locations.

PPE shall be reviewed regularly according to regulations, recognised international standard and to risk evaluations. CONTRACTOR shall ensure his employees understand the need for PPE and are provided with instruction as necessary in its use.

PPE shall meet recognised international standard (European Norm (EN), American National Standards Institute (ANSI), British Standard (BS), European Norm (EN) or an APPROVED equivalent standard.

The basic PPE to be provided by CONTRACTOR and to be used and/or worn by CONTRACTOR's PERSONNEL at all times and around any location are:

- Head protection,
- Eye and face protection,
- Safety boots or shoes,
- Hearing protection (to be worn in areas where noise intensity is higher than 80 dBA. These areas shall be marked),
- Hand protection,

In some specific cases, the following items of PPE shall be used and/or worn by CONTRACTOR's PERSONNEL at all times in and around any location:

- Flame resistant clothing may be required for certain task(s) as identified by in-situ management,
- Clothing for handling hazardous chemicals,
- Fall protection.
- Other equipment, e.g., breathing apparatus, toxic personal detectors, gloves, harnesses (belts are not allowed), specific shock absorber harnesses, rain gear or chemical resistant clothing, etc., which must be worn when the hazards to which an individual is exposed dictate their use.

8.2.3 Working hours and working conditions

CONTRACTOR shall ensure that working hours and rotation period duration are as per national regulation. Excessive working time per day is to be considered as an occupational risk. CONTRACTOR shall adapt working time of CONTRACTOR's PERSONNEL and SUBCONTRACTOR's PERSONNEL to environmental working conditions.

8.3 NON-OCCUPATIONAL RISKS**8.3.1 Sanitary conditions, accommodations and catering**

CONTRACTOR shall ensure that preventives measures are implemented to mitigate health risks which are not directly related to SERVICES such as, sanitary and environmental conditions, and domestic hazards. Preventives measures shall cover the WORKSITE, offices, catering premises, housing and temporary base camps.

Whenever relevant, CONTRACTOR shall ensure that the food quality and preparation, the food storage conditions and the quality of the water supplied are managed through an efficient management system and by an appropriate and skilled entity, in compliance with the relevant COMPANY's policy in force at COMPANY's locations.

8.3.2 Alcohol, drugs and medications

CONTRACTOR shall prohibit the use of illegal drugs and alcohol at the WORKSITE in line with COMPANY policy.

CONTRACTOR shall ensure that CONTRACTOR's PERSONNEL declares to the site health professional the use of any medication.

The use of medications that may impair performance must be reported to the hierarchy to take appropriate measures to reduce risks.

8.3.3 Smoking policy

CONTRACTOR shall be liable for any breach of this requirement by CONTRACTOR's PERSONNEL and SUBCONTRACTOR(S)'s PERSONNEL.

Smoking shall be restricted at the WORKSITE, with the exception of dedicated smoking areas.

It is emphasised that smoking shall be prohibited

- within any COMPANY premises.
- inside transportation means when driving at land, at sea or in the air
- in any working area including offices,

CLAUSE 9 COMPETENCE AND TRAINING**9.1 TRADE SKILL**

CONTRACTOR shall ensure that CONTRACTOR's PERSONNEL have acquired the trade skills corresponding to their specific jobs.

CONTRACTOR shall maintain procedures to ensure that CONTRACTOR's PERSONNEL are competent to perform their duties in a safe manner and to increase this competence through appropriate training for CONTRACTOR's PERSONNEL and SUBCONTRACTOR PERSONNEL.

CONTRACTOR shall evaluate:

- the operational competence required for each job/ function,
- the competence of the job/ function holders.

Procedures for competence assurance shall apply to CONTRACTOR's PERSONNEL and SUBCONTRACTOR's PERSONNEL. COMPANY reserves the right to review the competence of CONTRACTOR's PERSONNEL to perform their duties before starting any SERVICES and during the performance of SERVICES.

COMPANY shall ensure that CONTRACTOR cover the minimum H3SE training requirements as per COMPANY regulations based on the activity to be carry out on COMPANY locations.

CONTRACTOR shall ensure that CONTRACTOR's PERSONNEL have acquired the H3SE knowledge and H3SE skills to carry out their job in compliance with the H3SE requirements of the CONTRACT.

9.2 CERTIFICATIONS

CONTRACTOR shall ensure that CONTRACTOR's PERSONNEL has the required certification(s) granted by recognized Authorities.

COMPANY will provide the list of certifications, and their associated regulatory body, required by the performance of SERVICES as part of the specific H3SE requirements.

CONTRACTOR shall maintain records and certificates of all training courses followed by CONTRACTOR's PERSONNEL and shall provide them upon COMPANY request.

9.3 TRAINING

CONTRACTOR shall maintain procedures to ensure and increase competence through appropriate training for CONTRACTOR's PERSONNEL and SUBCONTRACTORS' PERSONNEL.

Procedures shall include an H3SE training matrix covering the level of participants, the course levels, the refresher courses and periods. The matrix shall include but are not limited to following subjects:

- Risk identification assessment and control (unsafe act auditing, job risk analysis, cause tree analysis, work permit,)
- Personnel fitness (periodical medical check-up, vaccinations, malaria prevention, AIDS and STD prevention, etc),
- General operation safety (stepping-handling-lifting, personal protective equipment, working at height, etc),
- Logistics safety (lifting gear, crane, forklift, container, air, marine, motor vehicle transportation, personnel lifting, etc),
- Mechanical safety (welding, cutting, sand blasting, painting, etc),
- Pressure safety (compressed air, high-pressure circuits, pressure vessels, pressurised operations, etc),
- Electricity safety (earth, lock out-tag out, hazardous areas 1-2, etc),
- Hazardous Materials safety (fuels, acetylene, oxygen, hydrogen, explosives, radioactive materials, treatment products, drugs and alcohol, etc),
- Whenever applicable, Marine safety,
- Environmental protection Awareness,

- Waste Management, Pollution control and Environmental Protection,
- Life saving and escape techniques (first aid, fire fighting, emergency response/preparedness).
- Respect of SOCIAL (LOCAL COMMUNITY) awareness,

CONTRACTOR shall emphasise training programme in H3SE-critical activities for personnel such as crane drivers and operators, truck drivers, bus drivers, boat drivers, fire team members, electricians, scaffolders and medics/first-aiders. CONTRACTOR shall maintain records and certificates of all training and shall provide them upon COMPANY request.

9.4 H3SE INDUCTION AT COMPANY LOCATIONS

At mobilisation to any location, each individual shall attend an H3SE induction program addressing COMPANY's H3SE obligations under this CONTRACT and specific to the relevant location, which shall also include environmental issues, SOCIAL (LOCAL COMMUNITY) issues, industrial relations and health issues.

Individuals shall be provided with a copy of the H3SE booklet, which shall complement information provided verbally by COMPANY. Any PERSONNEL shall attend this induction programme on the first day at work.

This provision applies to all PERSONNEL.

9.5 PERSONNEL INVOLVEMENT

CONTRACTOR shall continually reinforce during the performance of SERVICES:

- PERSONNEL awareness of risks
- PERSONNEL knowledge of associated control and recovery measures.

This reinforcement, in addition to formal training shall be done through:

- Drills organised by COMPANY,
- H3SE information through poster campaigns, videos and regular papers, Safety Feedback Notices from COMPANY,
- New proactive systems such as "Job Risk Assessment (JRA)".

"Job Risk Assessment" to be carried out by the personnel performing the SERVICES. The job is divided into steps. For each step, H3SE risks and control measures are identified and discussed by a team including the supervisor and the operators. A facilitator or the supervisor records the analysis. Job Risk Assessment must be approved by COMPANY as part of the Permit To Work system.

CLAUSE 10 EMERGENCY PREPAREDNESS

10.1 H3SE EMERGENCY SYSTEM

CONTRACTOR's PERSONNEL shall be familiar with alarm signals on the WORKSITE to inform of various emergency situations.

On the WORKSITE, in the event of emergency situations created by COMPANY operations:

- all personnel on the WORKSITE, including CONTRACTOR's PERSONNEL and SUBCONTRACTOR's PERSONNEL shall comply with any COMPANY RSES/ CSR instructions,
- SERVICES shall be immediately stopped within the area affected by the emergency.

10.2 DRILLS AND EXERCISES

CONTRACTOR's PERSONNEL shall participate to the regular drills and exercises organised at COMPANY's locations to train CONTRACTOR's PERSONNEL.

CLAUSE 11 AUDITS AND INSPECTIONS

COMPANY shall have the right to carry out H3SE compliance audits at the WORKSITE during all phases of the SERVICES.

CONTRACTOR shall provide all relevant resources, documentation and assistance as required by COMPANY to perform such audits.

CONTRACTOR must create action plan, follow up and report progress to COMPANY on actions raised during H3SE audits. For high priority actions raised from H3SE audits that indicate an additional risk on the activities being performed by CONTRACTOR an agreed plan and deadline must be documented and approved by COMPANY